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Report No: PAD3512

INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

PROJECT APPRAISAL DOCUMENT
ON A
PROPOSED LOAN

IN THE AMOUNT OF
US$100 MILLION

TO THE

REPUBLIC OF AZERBAIJAN

FOR AN

EMPLOYMENT SUPPORT PROJECT

February 6, 2020

Social Protection and Jobs Global Practice
Europe And Central Asia Region

CURRENCY EQUIVALENTS

(Exchange Rate Effective January 31, 2020)

Currency Unit =	Azerbaijani Manat (AZN)
AZN1=	US$ 0.59
US$1 =	AZN 1.70

FISCAL YEAR
January 1 - December 31

ABBREVIATIONS AND ACRONYMS

ABAD	ASAN support for family business
ALMP	Active Labor Market Program
AzRIP-2	Azerbaijan Rural Investment Project - 2
CPF	Country Partnership Framework
DOST	Dayanıqlı və Operativ Sosial Təminat Agentliyi (Center for Sustainable and Operational Social Security)
EHSG	Environmental Health and Safety Guideline
EU	European Union
GDP	Gross Domestic Product
GRM	Grievance Redressal Mechanism
GRS	Grievance Redress Service
IDP	Internally Displaced Person
IFR	Interim Financial Report
ILO	International Labour Organization
IT	Information Technology
KPI	Key Performance Indicator
M&E	Monitoring and Evaluation
MFI	Microfinance Institution
MIS	Management Information System
MLSPP	Ministry of Labor and Social Protection of the Population
NEET	Not in Employment, Education, or Training
NPV	Net Present Value
OECD	Organisation for Economic Co-operation and Development
OPEC	Organization of the Petroleum Exporting Countries
PDO	Project Development Objective
PES	Public Employment Service
PIU	Project Implementation Unit

PLR	Performance Learning Review
POM	Project Operations Manual
PPSD	Project Procurement Strategy for Development
PSG	Partial Credit Guarantee Schemes
PWD	Person with Disabilities
SSC	State Statistical Committee
SES	State Employment Service
SEP	Self-Employment Program
SEPCO	Self-Employment Program Case Officer
SIYB	Start and Improve Your Own Business
SME	Small and Medium Enterprises
SEPIS	Self-Employment Program Information System
STEP	Systemic Tracking of Exchanges in Procurement
TSSA	Targeted State Social Assistance
UNDP	United Nations Development Programme
VFM	Value for Money
VTC	Vocational Training Center

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DATASHEET

BASIC INFORMATION

Country(ies)	Project Name	
Azerbaijan	Employment Support Project	
Project ID	**Financing Instrument**	**Environmental and Social Risk Classification**
P171250	Investment Project Financing	Moderate

Financing & Implementation Modalities

[ ] Multiphase Programmatic Approach (MPA)	[ ] Contingent Emergency Response Component (CERC)
[ ] Series of Projects (SOP)	[ ] Fragile State(s)
[ ] Disbursement-linked Indicators (DLIs)	[ ] Small State(s)
[ ] Financial Intermediaries (FI)	[ ] Fragile within a non-fragile Country
[ ] Project-Based Guarantee	[ ] Conflict
[ ] Deferred Drawdown	[ ] Responding to Natural or Man-made Disaster
[ ] Alternate Procurement Arrangements (APA)	

Expected Approval Date	Expected Closing Date
05-Mar-2020	31-Dec-2025

Bank/IFC Collaboration

No

Proposed Development Objective(s)

The Project Development Objective is to improve vulnerable people's access to employment.

Components

Component Name	Cost (US$, millions)

1. Enhancing the scope and effectiveness of the Self-Employment Program (SEP)	95.50
2. Strengthening employment services and programs	2.00
3. Project Management, Monitoring and Evaluation	2.50

Organizations

Borrower:	Republic of Azerbaijan
Implementing Agency:	Ministry of Labor and Social Protection of the Population (MLSPP)

PROJECT FINANCING DATA (US$, Millions)

SUMMARY

Total Project Cost	100.00
Total Financing	100.00
of which IBRD/IDA	100.00
Financing Gap	0.00

DETAILS

World Bank Group Financing

International Bank for Reconstruction and Development (IBRD)	100.00

Expected Disbursements (in US$, Millions)

WB Fiscal Year	2020	2021	2022	2023	2024	2025
Annual	10.53	23.39	22.51	21.64	21.52	0.42
Cumulative	10.53	33.92	56.43	78.07	99.58	100.00

INSTITUTIONAL DATA

Practice Area (Lead)	Contributing Practice Areas
Social Protection & Jobs	Finance, Competitiveness and Innovation

Climate Change and Disaster Screening

This operation has been screened for short and long-term climate change and disaster risks

SYSTEMATIC OPERATIONS RISK-RATING TOOL (SORT)

Risk Category	Rating
1. Political and Governance	Substantial
2. Macroeconomic	Moderate
3. Sector Strategies and Policies	Moderate
4. Technical Design of Project or Program	Substantial
5. Institutional Capacity for Implementation and Sustainability	Substantial
6. Fiduciary	Substantial
7. Environment and Social	Moderate
8. Stakeholders	Moderate
9. Other	
10. Overall	Substantial

COMPLIANCE

Policy

Does the project depart from the CPF in content or in other significant respects?

[ ] Yes [√] No

Does the project require any waivers of Bank policies?

[ ] Yes [√] No

Environmental and Social Standards Relevance Given its Context at the Time of Appraisal

E & S Standards	Relevance
Assessment and Management of Environmental and Social Risks and Impacts	Relevant
Stakeholder Engagement and Information Disclosure	Relevant
Labor and Working Conditions	Relevant
Resource Efficiency and Pollution Prevention and Management	Relevant
Community Health and Safety	Relevant
Land Acquisition, Restrictions on Land Use and Involuntary Resettlement	Not Currently Relevant
Biodiversity Conservation and Sustainable Management of Living Natural Resources	Relevant
Indigenous Peoples/Sub-Saharan African Historically Underserved Traditional Local Communities	Not Currently Relevant
Cultural Heritage	Not Currently Relevant
Financial Intermediaries	Not Currently Relevant

NOTE: For further information regarding the World Bank's due diligence assessment of the Project's potential environmental and social risks and impacts, please refer to the Project's Appraisal Environmental and Social Review Summary (ESRS).

Legal Covenants

Sections and Description
No later than thirty (30) days after the Effective Date, establish and thereafter operate and maintain, throughout Project implementation a Steering Committee responsible for Project oversight and coordination, led by MLSPP, and with the composition and functions set forth in the Project Operational Manual.

Sections and Description
No later than thirty (30) days after the Effective Date, establish and maintain, throughout Project implementation, a Working Group led by the PIU, with the composition and functions set forth in the Project Operational Manual.

Sections and Description
No later than two (2) months after the Effective Date, approve and implement an annual training program on the Environmental and Social Standards, according to the terms and conditions set forth in the Project Operational Manual.

Conditions

Type	Description
Effectiveness	The PIU has been established by the Borrower, through MLSSP, with the staffing, functions and resources set forth in the Project Operational Manual, which include, inter alia: (i) a director, (ii) a procurement specialist, (iii) a financial management specialist, (iv) an environmental specialist, and (v) a social specialist.

Type	Description
Effectiveness	The Project Operational Manual has been adopted by the Borrower in a manner and with content acceptable to the Bank.

I. STRATEGIC CONTEXT

A. Country Context

1. **Over the last 15 years, strong economic growth has propelled Azerbaijan into the upper-middle-income status.** The country's gross national income (Atlas method) per capita rose from US$610 in 2000 to US$4,080 in 2017.[1] The rapid transformation was made possible by the exploitation of hydrocarbon resources (oil production) and high levels of public expenditure. Mining, which mainly represents oil and gas, contributed about 50 percent to the total gross domestic product (GDP) from 2005 to 2012 (State Statistical Committee [SSC]). Among the non-oil sectors, the biggest increase took place in the construction sector. However, in the last few years economic growth slowed substantially. A collapse in global oil prices in 2014–2016 led to a decrease in real GDP by 3.1 percent. The resulting macroeconomic instability wiped off the external surplus and sharply reduced government revenues. Many sectors, especially in the non-oil industry, remain underdeveloped and grew only marginally over the years. While services became more important in Azerbaijan's economy, most service activity takes place in non-tradable sectors such as transportation, public administration, and education.

2. **During 2017–2018, the Azerbaijan economy began to recover, albeit at a sluggish pace, supported by favorable terms of trade and stable oil production.** Economic growth was only 0.1 percent in 2017 and accelerated to 1.4 percent in 2018, with the non-oil sector leading the modest recovery. Agricultural growth averaged 4.5 percent, fueled by higher exports to the Russian Federation, and output in most service sectors recovered to the prerecession levels. Construction remains an exception to this pattern, still posting negative growth rates. Oil sector output growth was limited by Azerbaijan's participation in the agreement between Organization of the Petroleum Exporting Countries (OPEC) and non-OPEC countries. On the expenditure side, caps on oil sector output resulted in modest exports contribution to growth, while domestic demand was held back by subdued wage and credit growth.

3. **Since 2015, slower economic growth and high inflation have impaired economic performance in Azerbaijan, posing a threat of reversing the progress attained by the country on poverty reduction.** Azerbaijan experienced significant and steady poverty reduction, with the poverty rate[2] declining between 2005 and 2015 from 29 percent to 4.6 percent and the middle class[3] growing from 18.9 percent to 55.6 percent over the same time period. There are also significant spatial disparities in welfare across regions as well as between rural and urban areas within each region. Poverty in Azerbaijan is concentrated in rural areas, and the leading areas in development are mainly urban, including Baku. Azerbaijan's progress toward achieving the World Bank Group's twin goals was brought about by public sector-driven growth, in combination with increases in wages and social transfers.

4. **The growth model has been driven by strong foreign direct investment inflows and the oil boom, though it has not created enough high productivity jobs.** Employment growth has not been keeping pace with the growth of the country's economy. The economic boom caused a huge increase in productivity in mining, which is not labor intensive (employs only about 1 percent of the workforce). The majority of the workforce is employed in low productivity sectors: 36 percent of workers work in agriculture (the share is higher in rural areas), most in subsistence agriculture, and 6.7 percent in trade

[1] http://www.doingbusiness.org/data/exploreeconomies/azerbaijan.
[2] Using the international upper-middle-income poverty line of US$5.5 per day per capita in 2011 prices.
[3] Where middle class is defined as earning US$11 or more per day per capita in 2011 prices.

services. Very few workers are employed in productive sectors with export potential, such as financial and business services (4 percent) and manufacturing (7 percent). Self-employment is high (45 percent), especially in rural areas (84 percent of those working in agriculture are self-employed). Self-employment is also fairly prominent as a share of total employment in construction (58 percent) and transportation (45 percent). Financial and business services also have a high proportion (44 percent) of self-employed, possibly due to the prevalence of independent professions and highly skilled consultants in these areas. While self-employment can be a very heterogeneous category, encompassing both high-growth entrepreneurs and subsistence work, the vast majority (over 90 percent) of self-employment in Azerbaijan is own-account work, that is, people working for themselves without employees. This suggests that self-employment is of a small-scale, subsistence nature, rather than reflecting truly entrepreneurial activities.

5. **Employment outcomes are lower for women, youth, internally displaced persons (IDPs), and people with lower levels of education.** While Azerbaijan's overall labor force participation rate (71 percent in 2016, approximately 5 million people) is in line with that of other Europe and Central Asian countries, low female labor force participation is a concern (labor force participation rate is 54 percent for women as opposed to 75 percent for men).[4] Labor force participation is higher in rural areas, mostly because the rural workforce is employed in subsistence agriculture. Highly educated individuals are significantly more likely to participate in the labor force. IDPs have lower employment rates and higher inactivity rates than non-IDPs. They have few income-generating options and are highly dependent on state transfers and subsidies as their main source of income. Youth face significant challenges entering the labor market, and many young women are not in employment, education, or training (NEET). The NEET rate for youth 15–24 years old in Azerbaijan was about 24 percent in 2015. However, the gender gap is substantial: at 32 percent the female NEET rate is three times higher than that of young men (11 percent). The high female NEET rate is due to limited job opportunities, skill mismatches, and family responsibilities for women. Many employers report a lack of adequate skills among potential employees, highlighting the importance of high-quality education (Rutkowski 2015).[5] Overall, unemployment is quite low at 5 percent, although unemployment is higher for youth and for people ages fifty and above indicating that the labor market is only partially able to absorb older, more experienced, workers.

B. Sectoral and Institutional Context

6. **Though Azerbaijan has recently increased investment in social policies, social protection spending is still low compared to the regional average.** The Government has made significant improvements related to social and labor policies in 2019, such as increasing the coverage of the main social assistance program, increasing the minimum wage and pension benefit amounts, and launching the first DOST[6] office in Baku to improve the efficiency of the social services delivery. The share of the total government budget[7] allocated to social protection including social insurance, social assistance, and labor market programs was 10.3 percent (AZN 2.3 billion) in 2019. This was 11 percent higher than the previous

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[4] World Bank. 2019. "Improving Employment Outcomes in Azerbaijan*",* Working Paper, Washington, D.C., World Bank.

[5] Rutkowski, Jan. 2015. *Demand for skills: main results of the Azerbaijan STEP employer survey,* Washington, D.C.: World Bank.

[6] DOST, the Azerbaijani acronym for Centers for Sustainable and Operational Social Security, is a one-stop shop center to administer the front office functions related to the administration of social services (pensions, disability benefits, and social assistance benefits). The first DOST center was launched in Baku in May 2019. Three more centers are expected to be launched in 2020 throughout the country. DOSTs are under the jurisdiction of the Ministry of Labor and Social Protection of the Population (MLSPP).

[7] In 2019, the total government budget was AZN 25 billion, 11.2 percent higher than the previous year, in part to address social issues.

year, representing about 5 percent of GDP. This level of spending is below the average among Europe and Central Asia countries (8.6 percent of GDP) and the European Union (EU) (19 percent of GDP). Social insurance (pensions) accounts for about 85 percent of social protection spending. Spending on social assistance is among the lowest in the region, around 0.8 percent of GDP. The Targeted State Social Assistance (TSSA), the main poverty targeted cash transfer program, is the largest social assistance program in the country, representing around 38 percent of the total social assistance expenditure in 2017, equivalent to 0.3 percent of GDP. This share has declined since 2014—when the share of TSSA in social assistance spending was 42 percent—due to the gradual decrease in the total coverage of the program (in turn due to implementation issues related to the new automated application system). The TSSA program's scale rebounded only recently, in 2019. Spending on labor market programs is still low—about 0.04 percent of GDP in 2017—though the budget allocated to the Unemployment Insurance Fund has increased significantly in the past two years driven by an expansion of the Self-Employment Program (SEP) and unemployment benefits. Labor market programs include unemployment assistance, vocational training, SEPs, and employment services delivered through the State Employment Service (SES) (Table 1).

7. **Almost two-thirds of the population benefits from social protection transfers, although coverage of the poor people with social assistance is low.** In 2017, about 50 percent of households were recipients of contributory social insurance transfers (mostly pensions) and about 25 percent of households were recipients of social assistance programs. The TSSA program covers about 60,000 households, less than 5 percent of the population as of July 2019; only one out of five households in the poorest quintile were beneficiaries of the TSSA program in Azerbaijan as of 2015 (based on the latest household survey data available to the team).

Table 1. Spending on Labor Market Policies in Azerbaijan (AZN, millions)

	2014	**2015**	**2016**	**2017**	**2018**	**2019**
Unemployment benefit	5.60	5.90	15.20	17.50	12.80	2.20
SEP	0.00	0.00	0.00	6.00	30.10	55.10
Vocational training and additional education	0.90	0.90	1.10	0.90	1.00	1.50
Professional orientation	0.00	0.00	0.00	0.00	0.60	1.30
Public works	0.20	0.20	0.08	0.10	0.10	0.90
Labor fairs and labor exchanges	0.40	0.50	0.50	0.60	0.80	0.10
Total	**7.10**	**7.50**	**16.80**	**25.10**	**45.40**	**61.20**

Source: MLSPP.

8. **The SES offers a limited array of active labor market programs (ALMPs).** The SES is an agency subordinated to the MLSPP and is responsible for the implementation of public employment services (PESs) and programs. It has about 86 local offices in the country and approximately 713 staff. Programs available to registered unemployed people include job search, job counseling, vocational training, vacancy fairs, public works, the SEP, and unemployment assistance benefits (accounting for one-third of the budget).[8] Jobseekers' registration and job intermediation functions will be increasingly implemented in coordination with DOSTs. As of December 2019, the SES had about 78,000 individuals registered as

[8] By law, both public and private employers are required to submit available vacancies to the SES. However, only a fraction of vacancies available in the economy are intermediated through SES channels as most employers do not register their vacancies with the SES. Vacancies registered at the SES tend to be for unskilled or semiskilled workers and, consequently, mostly for low wage jobs.

unemployed (about 30 percent of the total unemployed in the country). The 'unemployment status' is a requirement for being eligible to the menu of SES employment service.[9] Few of the registered unemployed belong to vulnerable groups. Among the registered unemployed people, the shares of IDPs, disabled people, and beneficiaries of the TSSA are very low (11.5 percent, 1.4 percent, and 1 percent, respectively). A third of the registered unemployed are women and 30 percent of them are youth (18–29 years). Almost two-thirds are short-term unemployed (having been unemployed for less than six months), whereas only one out of five is long-term unemployed (having been unemployed for more than two years). Almost half of them (26,000) have completed tertiary education, and most of the unemployed have at least completed general secondary education.[10]

9. **The SEP was launched as an instrument to provide a 'productive safety net' to poor and vulnerable people and reduce their dependency on public support.** The SEP is the largest ALMP in Azerbaijan managed by the SES under the MLSPP. The program, originally piloted in 2014 by International Labour Organization (ILO),[11] was scaled up nationally in 2016, based on a presidential decree. The SEP provides basic business training, support to prepare a business plan, and in-kind assets (with an average value of AZN 7,000)[12] to vulnerable unemployed people with the objective to promote their self-sufficiency through livelihood support and reduce dependency on public support. The priority groups for the program participation were 'socially marginalized and not protected people' and persons with disabilities (PWDs). The original objective of the SEP was to provide 'active' support to workable vulnerable individuals, complementing the TSSA which provides regular 'passive' monthly cash transfers for poor and vulnerable people who are not able to work due to illness, family duties, and other constraints. In that sense, the SEP was launched as a graduation pathway for the TSSA workable beneficiaries. The rationale for the in-kind assets transfers is that poor and vulnerable individuals lack collateral to borrow through commercial banks and have limited access to markets (in addition to higher skills and mobility constraints).

10. **Building on the experience of the pilot, a presidential decree mandated the Government to scale up the SEP to other rayons.[13]** Program funding amounted to approximately AZN 6 million in 2017, which supported the scale-up to 84 regions and cities. In 2018, the Government invested AZN 35.8 million

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[9] The unemployment status is obtained as follows: when a person registers at the SES, he/she is treated as a 'jobseeker' for five business days. Within this period, the SES tries to place the jobseeker in a private sector job or with public works. If the jobseeker receives a job placement, he/she either accepts the job and leaves the SES, or rejects the job offer and consequently cannot stay registered with the SES. If the person does not receive a job offer within five days, he/she automatically becomes registered as unemployed and can subsequently access the SEP and other ALMPs.

[10] SES data as of June 2019.

[11] The SEP was piloted in the Goychay region in 2014 with support from the ILO. The pilot was very small in scale: 21 beneficiaries (17 men and 4 women) and four trainers. Emphasis was placed on the background of the applicants, especially whether they had any previous experience in the economic activity they were planning to undertake and whether they had any connections or relations that could help with the activity implementation, such as education and family background. Both the future trainers and program participants were trained together for a period of two months. The two-month-training focused primarily on the (a) legal requirements, (b) development of a business plan, (c) tax rules, (d) basic accounting, (e) marketing tools and activities, (f) social insurance requirements, and (g) employment principles (for those who may employ workers later).

[12] The average and maximum monetary value of in-kind assets is subject to changes proportionally to changes in the Consumer Price Index. Changes will be introduced through a procedure established in the Project Operational Manual.

[13] Decree of the President of the Republic of Azerbaijan dated April 7, 2016, "On Additional Measures to Ensure Employment of the Population."

on the SEP from the Unemployment Insurance Fund.[14] The number of beneficiaries increased from 1,281 in 2017[15] to close to 8,000 in both 2018 and 2019, respectively. The state budget investment for the next years is expected to cover 10,000 beneficiaries annually. The criteria for the distribution of funds among regions has been based on local consultative activities and labor market analysis carried out by the MLSPP, including data on the unemployment rate and the number of farms. Based on administrative data shared by the SES, 83 percent of the SEP activities are generated from livestock assets transfers, while the remaining 17 percent are activities in manufacturing (for example, textiles and furniture); food processing (for example, butchery and bakery); services (for example, mechanic and barber); and non-livestock agriculture (for example, intensive gardening) generated from assets different from livestock. Only about 40 percent of the program beneficiaries belong to a vulnerable group (as defined by the law: women, youth, IDPs and refugees, TSSA beneficiaries, veterans, and PWDs). Only 20 percent of the program beneficiaries are women.

11. **Existing evidence on the SEP's performance points to general positive feedback among beneficiaries and to specific areas to improve the program's effectiveness.** According to a 2018 survey of SEP beneficiaries administered by the MLSPP, the general feedback on skills acquired through the program was positive. The SEP beneficiaries are optimistic about their income-generating activities prospects, though they could not answer when asked about business forecasting. The effectiveness of the SEP could be improved by carrying out training and supervision not only at the end of the project, but during the life span of the project. Specifically, the evaluation recommends the inclusion of (a) individual business coaching to further develop skills and ensure the continuity of knowledge acquired during the business training, (b) additional 'on-the-job training' to develop practical skills, (c) vocational training in addition to business training, and (d) the development of monitoring plans for in-kind assets. Focus groups with the SEP beneficiaries as part of stakeholder consultations suggest that (a) beneficiaries' main motivation for applying for the program was to become an entrepreneur; (b) the program achieves a higher gender balance in urban than rural areas as the SEP supports mainly livestock rearing in the latter, which is traditionally a male activity; (c) beneficiaries were unhappy with the long duration it took for them to receive the assets; and (d) beneficiaries complained about not being able to reapply to the program. Furthermore, consultations with the SES employees revealed the SEP beneficiaries' strong preference to receive more training in relevant areas.

12. **An assessment conducted as part of the EU twinning project[16] suggests that the implementation and monitoring and evaluation (M&E) capacity of the SES is low.** The SES staff caseload—the ratio of clients to employment counseling staff—is quite high. By the end of 2019, on average, there were 300 registered jobseekers for one SES staff (within the EU, the average staff caseload is around 1:150; the figure recommended by the ILO is 1:100.). However, the current selection practices of SES staff do not ensure that staff have the competencies required for employment services. Hiring decisions are made based on the general hiring procedure for civil servants, which does not take into consideration skills

[14] The Unemployment Insurance Fund was created in 2018 as part of the country's reform of the Law on Employment. Both employers and employees contribute 0.5 percent of the employee's salary to the fund. The fund's objective is to finance unemployment benefits and ALMPs. A total of 40 percent of the fund's overall budget is dedicated to the SEP.

[15] A total of 1,767 applicants were selected, of whom 1,644 completed a two-month training; 1,339 business plans were approved and finally, 1,281 participants received assets (58 dropped out, while waiting for the assets). Each of the awarded participants received, on average, an asset in the amount of AZN 4,000.

[16] Report by the EU Twinning Project No. AZ13 ENI. Twinning is an EU instrument for institutional cooperation between public administrations of the EU member states and beneficiary or partner countries. In the case of Azerbaijan, Lithuanian officials provided technical assistance to the SES.

specific for SES employees. Furthermore, it does not guarantee that new hires have sufficient information technology (IT) skills, which are a prerequisite for being effective at their job. Currently, the SES does not provide any introductory training to its staff and has no recruitment channels for hiring of specialists such as social workers or psychologists. Lastly, the SES does not provide opportunities for employees to specialize in functions, such as case management, nor does it conduct any profiling of clients, and has limited interactions with employers. At the same time, some SES staff has undergone job-specific trainings; and SES is currently finalizing its training strategy for 2020.

13. **The vocational training centers (VTCs), operated by the MLSPP, require upgrading of curricula and training materials, as well as stronger links with employers if they are to provide labor market-relevant skills training.** The MLSPP operates two VTCs in Baku and Goychay,[17] providing short-term vocational training (up to a maximum of three months) for unemployed individuals registered with the SES. The primary purpose of these training centers is to train active jobseekers (registered with the SES with an 'unemployed' status) to improve their employability as well as retrain existing workers, especially those at risk of losing their job and develop their capacities and assist them in job-to-job transitions. The supply of certified vocational training courses by the VTCs is very limited and the scale is small: about 3,000 people are trained every year. An assessment of the VTCs, conducted as part of project preparations, found that the choice of training modules is based largely on the supply of programs available at the school and is not responsive to labor market needs. The VTCs have outdated workshops and equipment and limited resources to retrain instructors.

14. **The proposed project builds on previous lending and analytical engagement.** The Social Protection Development Project (P105116)—which closed in 2015—supported the MLSPP to improve the delivery of labor market and social protection interventions through strengthened institutions, enhanced institutional and human resources capacity, and improved targeting of social safety net programs. It contributed to strengthening institutions and human resources capacity and improving the targeting of social safety net programs. The recently completed South Caucasus Jobs Diagnostics and Advisory Services (P168811) conducted a review of the SEP (as well as of all social protection and labor programs)[18] and an assessment of hiring constraints among employers that was included and framed in the report titled 'Improving Employment Outcomes in Azerbaijan'. The analysis indicates that lack of skills (technical, interpersonal, and noncognitive) is among the main constraints employers face when hiring skilled labor.

C. Relevance to Higher Level Objectives

15. **The proposed operation is built around supporting the SEP implemented by the Government of Azerbaijan**. The proposed activities aim to improve and scale up the program, consistently with the recently adopted 'Employment Strategy of the Republic of Azerbaijan for 2019–2030'[19] and its Action Plan, laid out in the 'Law on Employment' (No. 1196-VQ adopted on June 29, 2018). The third priority direction on 'increasing the scope and efficiency of the ALMPs and strengthening the integration of citizens in need of social protection and those who have difficulties in finding an employment into labor market' points to the need to enhance the effectiveness and scale of interventions supporting entrepreneurship and self-

[17] The other VTC center in Ganja will be operational in 2020.
[18] World Bank. 2018. "Azerbaijan. Recent Crisis, Welfare and Social Protection."
[19] On October 30, 2018, the President of the Republic of Azerbaijan ordered a Decree on "Approval of the Employment Strategy of the Republic of Azerbaijan for 2019–2030."

employment through 'ABAD'[20] centers and the SEP. Article 24 in the Law on Employment specifies the form of self-employment as materials, equipment, and other property that is provided to the beneficiary on a contractual basis for two years: design parameters of World Bank support have been developed consistently with this requirement.[21] The project also seeks to design private sector pathways for the SEP beneficiaries with high potential to grow.

16. **The proposed project is in line with the objectives of the World Bank Group's Country Partnership Framework (CPF) for Azerbaijan for the period FY16-20 (Report No. 95860-AZ, June 3, 2015).** The recently completed Performance Learning Review (PLR) of the CPF extends the implementation period of the CPF until FY21 and reconfirms the importance of increased investments in human development to address the existing social challenges, including high informality, underemployment, and low labor force participation, particularly among women and youth. Increased investment in human development would help address rural-urban disparities, as well as those across income groups and gender. One of the priorities for the remainder of the CPF mentioned in the draft PLR is to contribute to the Government's SEP. In this sense, the proposed project is in line with Focus Area 1, in particular Objective 1.2: Support access to, and satisfaction with, public services, and Focus Area 2 of the CPF (Economic Competitiveness), according to the updated structure outlined in the PLR.

II. PROJECT DESCRIPTION

A. Project Development Objective

17. **The Project Development Objective (PDO) is to improve vulnerable people's access to employment**. Vulnerable people are defined in accordance with the Law on Employment as beneficiaries of the TSSA program, IDPs, refugees, women, youth, PWDs, long-term unemployed, individuals with less than two years until retirement, and former convicts. The project will target in particular four of these groups: the TSSA beneficiaries, IDPs, women, and youth who are either inactive or unemployed registered with the SES. Employment refers to both self-employment and wage employment opportunities.

PDO Level Indicators

18. **The achievement of the PDO will be measured by the following indicators**:

(a) Share of SEP businesses in operation 24 months after asset transfer, by vulnerable group

(b) Employment rate among registered jobseekers, by vulnerable groups, including gender

[20] ABAD stands for "ASAN support for family businesses" and provide support for family-owned small and medium enterprises (SMEs) in rural areas of Azerbaijan.
[21] During project preparation, the team has (a) discussed the option of providing cash grants versus in-kind transfers and (b) offered lessons in a technical seminar from interventions providing microloans to entrepreneurs from marginalized communities, based on the experience of the Hungarian 'Kiútprogram' microcredit facility. Neither option was deemed applicable as a result of the referenced legislative framework.

B. Project Components

19. **To achieve the PDO, activities will support improved self-employment opportunities and also build institutional capacity.** Against its PDO, the project establishes three components, with the following respective subcomponents:

- Component 1: Enhancing the scope and effectiveness of the Self-Employment Program (SEP)
  - Subcomponent 1.1: Expanding the program scale and scope of support
  - Subcomponent 1.2: Testing the introduction of complementary business support services for selected SEP beneficiaries
  - Subcomponent 1.3: Improving the governance and coordination mechanism of SEP
- Component 2: Strengthening employment services and programs
  - Subcomponent 2.1: Labor market assessment and development of a VTC strategy
  - Subcomponent 2.2: Outreach, profiling, skills assessment, and case management for jobseekers
- Component 3: Project management, monitoring, and evaluation
  - Subcomponent 3.1: Project management
  - Subcomponent 3.2: Monitoring and Evaluation

20. **The project will be implemented through the network of local SES centers under the leadership of the MLSPP**. In agreement with the MLSPP, the project will start operating in 27 selected rayons[22] in 2020 and then expand to other rayons (as approved by the World Bank) to support only SEP beneficiaries requesting non-livestock-related assets. SEP beneficiaries requesting livestock[23] will be supported by the government-sponsored SEP. The initial 27 rayons to be supported by the project in 2020 have been selected based on agreed objective criteria to represent different economic-geographic conditions in Azerbaijan. The Government ranked rayons (and subrayons in Baku) based on their combined percentage of (a) the country's population, (b) the share of registered unemployed residing in that area, and (c) the share of all individuals who have applied to the SEP. Starting from 2021, the project will be gradually scaled up to other rayons (as approved by the World Bank).

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[22] The 27 rayons include Binagadi, Khazar, Yasamal, Nasimi, Surakhani, and Khatai sub-rayons in Baku; the Sumgait rayon in Absheron, Ganja-Nimazi, Shamkir; Tovuz rayons in Ganja-Gazakh; the Gabala and Shaki rayon in Shaki-Zaqatala; the Masali and Lankaran rayon in Lankaran; the Khachmaz and Guba rayon in Guba-Khachmaz; the Shirvan Mingachevir, Yevlakh, Barda, Goychay, Imishli, and Salyan rayons in Aran; the Agyhdam and Fuzuli rayons in Yukhari-Garabagh; and Ismayili and Shamaki rayons in Daghlig Sirvan. Project activities will only be carried out in areas controlled by the Government.

[23] The MLSPP defines livestock as asset transfers of cows, sheep, goats, and chickens. Transfers of bees (for honey production), which have proved successful under the project pilot, are not classified as livestock.

Component 1: Enhancing the scope and effectiveness of the Self-Employment Program (SEP) (US$95.5 million)

21. **The objective of this component is to support the scale-up of the SEP and improve its effectiveness by diversifying the economic sectors of SEP businesses and complementing the existing SEP with additional services.** Starting 2021,[24] the project will support about 5,000 SEP beneficiaries per year with non-livestock assets, in addition to about 10,000 beneficiaries per year receiving livestock assets as part of the SEP sponsored by the Government. The project will support SEP beneficiaries who plan to start an income-generating activity not related to livestock and hence will provide in-kind assets exclusively in the form of machinery, tools, and equipment. The government-funded SEP will instead support the SEP beneficiaries requesting to initiate activities related to livestock. The project will support the scale-up of the program and enhance the program effectiveness by strengthening the business training component; providing the technical skills needed to expand the scope of the SEP activities toward manufacturing and services (reducing the predominance of the SEP activities related to livestock); introducing complementary business support services for selected businesses with higher probability to grow and expand after the SEP (mentoring visits, incentives to accumulate savings, and additional capital); strengthening the program implementation capacity (including improving its targeting, monitoring, and staff capacity); and coordinating with the TSSA program. To enhance the program's impact among women, this component—in particular, Subcomponents 1.1. and 1.2—will streamline training to encourage motivation and the development of an entrepreneurial mindset (this has proven to be especially impactful among women); provide financial incentives to open saving accounts; and build the capacity for entrepreneurial activities in occupations (for example, identified by the Azerbaijan Rural Investment Project 2 [AzRIP-2]) as preferred by women (for example, tailoring, food processing, and so on).

Subcomponent 1.1: Expanding the program scale and scope of support (US$93.3 million)

22. **This subcomponent will support the scale-up of the SEP, diversification of SEP businesses, and enhancement of the business training currently implemented under the program.** This subcomponent will:

(a) Enhance the 40-hour, class-based ILO 'Start and Improve Your Business' (SIYB) training module,[25] which is currently implemented as part of the SEP by strengthening the business practices module, by adding an orientation day to strengthen the beneficiaries understanding of the program and local economies, adding a financial literacy module, adding psycho-motivational elements throughout the training to develop key behaviors associated with a proactive entrepreneurial mindset, and showcasing success stories among the previous SEP beneficiaries;

(b) Provide in-kind assets (with the exclusion of livestock assets which will be provided by the government-sponsored SEP) to approximately 22,000 SEP beneficiaries over the course of the project to support the start-up of income-generating activities based on approved business plans;

[24] Around 2,000 beneficiaries are expected to be supported in 2020 after project effectiveness.
[25] The SIYB training consists of four modules: (a) generate your business idea, (b) start your business, (c) improve your business, and (d) expand your business.

(c) Provide follow-up visits to ensure that the knowledge acquired at the business training is applied 'on-the-job';

(d) Subsidize the cost of opening a bank account for those who decide to open an account;

(e) Outsource to private providers the delivery of technical trainings for selected nonfarming activities/occupations in demand by the SEP beneficiaries whose supply by the VTCs is limited; and

(f) Upgrade the curricula of selected courses and equipment in the two VTCs operated by the SES.

23. **The enhanced business and psycho-motivational training is meant to equip beneficiaries with a minimum set of business practices,** financial literacy, personal motivation, and entrepreneurial mindset associated with successful entrepreneurship[26] as well as to assist them in the preparation of business plans (to be evaluated and approved). Exposure to success stories from peers ('role models') will be mainstreamed in the business training to foster beneficiaries' aspirations and their capacity to visualize success. The maximum value of the in-kind grants will be AZN 7,000 consistent with the government-run SEP. A list of potential in-kind assets to be financed by the project has been developed and costed based on the demand from the existing SEP beneficiaries whose business plans requested assets other than livestock.[27] A participative approach through the involvement of existing consultative mechanisms between local stakeholders and the SES will be leveraged to identify and encourage beneficiaries to initiate potential business activities that respond to respective local economies and product markets. At the orientation workshop, promising business areas will be presented to promote the diversification from livestock-related activities and encourage SEP beneficiaries to start businesses in the manufacturing and services sectors.

24. **The provision of short technical training courses will be aligned with local labor market conditions and demand from program applicants**. The provision of the technical training will be carried out through third-party private providers, and through the MLSPP VTCs, depending on their capacity. As more VTCs are expected to be opened during the project life cycle, it is expected that more beneficiaries will be trained in VTCs over the course of the project. Initially, the project will significantly outsource the provision of specific basic technical training (of about one-month duration) to private providers through a competitive bidding process. As most of the existing market for basic technical training consists of nonaccredited providers (there is currently only one accredited private provider in Azerbaijan), accreditation will not be considered as a requirement, though a set of qualification criteria will be developed to allow only prequalified providers to bid. Every year, about 3,000 SEP beneficiaries are

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[26] Campos, F. et al. (2018): "Teaching personal initiative beats traditional training in boosting small business in West Africa", Science, Vol. 257, Is. 6357; McKenzie, D. & Woodruff, C. (2017): "*Business Practices in Small Firms in Developing Countries,*" Management Science, Vol 63(9), pp.2967-2981**.** Bloom, N. & Van Reenen, J. (2007): "*Measuring and Explaining Management Practices Across Firms and Countries,*" The Quarterly Journal of Economics, MIT Press, vol. 122(4), pp. 1351-1408

[27] Assets are provided for the following types of businesses: manufacturing of textile goods, car washing, footwear manufacturing, beauty salon, barbershop, manufacturing of furniture, bakery, joiners shop, confectionery shop, car painting, car mechanic, car electrician, photo studio, plastic door and window production, carpentry shop, tire repair shop, greenhouse farming, door and window production, video operator, floor polishing, butcher shop, dairy processing, and household services (equipment repair).

expected to participate in the technical training as part of the SEP package to optimize the use of assets provided under the program.

Subcomponent 1.2: Testing the introduction of complementary business support services for selected SEP beneficiaries (US$1.7 million)

25. **This subcomponent will support additional services for those SEP businesses with higher potential to expand.** 'Necessity entrepreneurs'—such as SEP beneficiaries—are often outside formal access to finance markets. The objective of this subcomponent is to provide additional services and access to further finance to promote business development for a small subset of SEP beneficiaries who have higher prospects to grow their business beyond subsistence. It is expected that some of the businesses supported by the SEP[28] will maintain their livelihoods based on the sector of their in-kind transfer, some will exit their lines of business, while others will grow and hire additional labor.[29] In addition, this subcomponent seeks to raise awareness on existing private sector pathways and pilot a small-scale intervention addressing informational, knowledge, and financial constraints that may prevent high growth potential SEP businesses to grow.

26. **This subcomponent will support the piloting and evaluation of a set of services to expand the businesses of some SEP beneficiaries.** To this end, this subcomponent will invest in services that could turn promising SEP micro-businesses into growing businesses. Promising SEP businesses will be identified based on their business performance and plan to grow about 12 months after receiving the in-kind asset. Specifically, the subcomponent will finance the following services for a few selected SEP businesses:

(a) Provision of additional funding as a matching grant of maximum amount AZN 3,500 for those SEP beneficiaries who intend to expand their line of business based on adjudication of their expansion business plans;

(b) Larger business award to be awarded based on a business plan competition where proposals to scale up the business will be prepared, by the SEP beneficiaries, and evaluated;

(c) Provision of individual mentoring visits and advisory services during the first four months of business operation focusing on relevant business skills and practices, including market development and intelligence, as well as management capacity; and

(d) Provision of informational sessions on the existing financial instruments with a focus on existing concessional loans (including the subsidized agro-credit programs run by the Ministry of Agriculture), opportunities with the movable collateral registry, business development services (such as those offered by the Small Business Development Agency), and other debt opportunities that SEP beneficiaries can use to attract additional financing to scale up their business.

27. The design of this subcomponent is centered around self-selecting promising SEP entrepreneurs and providing them with an opportunity to avail additional support through a mechanism that is publicly funded but mimics practices in the private sector. Across the life of the project, 280 SEP beneficiaries are

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[28] Successful SEP beneficiaries are mandated to register their income-generating activity as a business within two years from receiving the in-kind asset.
[29] This is currently a major constraint for micro and small and medium enterprises in Azerbaijan.

expected to receive matching grants and about 8 will be awarded business awards. This corresponds to approximately half of one percent of the total SEP beneficiaries supported by the project.

Subcomponent 1.3: Improving the governance and coordination mechanism of SEP (US$0.5 million)

28. **The project will support improved governance and coordination arrangements of the SEP implementation.** To this end, the project will finance the following:

(a) Introducing innovative information and communication technology solutions to streamline access to the SEP through a dedicated beneficiary support portal and mobile app. These services will allow for online application to the program and facilitate subsequent interaction with SEP case officers (SEPCOs);

(b) Training the SES staff for improved engagement modalities with clients as well as improved selection of beneficiaries with a special focus on working with vulnerable groups and technical and social support to clients;

(c) Strengthening outreach and the selection process for the SEP (targeting) in local SES centers, particularly for women to increase their participation in the SEP;

(d) Improving the coordination between the TSSA and SEP through the development of a TSSA graduation strategy and trainings provided for welfare office frontline staff; and

(e) Upgrading the SES management information system (MIS) to improve the monitoring and performance management of the programs as well as the analysis of the SEP beneficiary data.

29. The selection of beneficiaries will be based on the existing jobseeker registry (approximately 200,000 unemployed as of end-2019), with an explicit (but not exclusive) targeting of jobseekers from the categories of vulnerable individuals: youth, women, IDPs, and beneficiaries of the TSSA program. An assessment of the country personal data protection policies and the MLSPP's data systems will be conducted during implementation to identify gaps. The objective will be to put in place a framework for protecting personal data used in the program and strengthening the IT governance and capacity, as well as to ensure that project personal data related activities are carried out in accordance with international best practices.[30]

Component 2: Strengthening employment services and programs (US$2 million)

30. **The objective of Component 2 is to improve the SES' capacity to perform its core tasks including clients' assessment, counseling, job matching, and referral to appropriate employment programs**. It also aims to support the MLSPP's efforts to expand and improve the VTCs. Beneficiaries of this component are

[30] International Best Practice consists of the following: (i) (a) ensure the rights of individuals with respect to the fair and legitimate processing of their data, including that the purpose of collection and use of data are known to those individuals, (b) only that data which is necessary for the stated purposed are collected and used, (c) data be retained only for so long as is necessary for such purpose, and (d) individuals whose data is collected and used have the right to ensure the confidentiality and accuracy of that data, and (ii) data processors (a) take such measures as are necessary to ensure the security of such data and that such data are processed transparently, (b) undertake not to transfer such data to third parties without the consent of those individuals, and (c) provide procedures and mechanisms to enable the rights described above.

the inactive and unemployed registered with the SES, with a focus on women, youth, IDPs, and the TSSA beneficiaries. This component complements the first component in achieving the overall objective of the project as it will allow the SES to adequately segment SES clients between the SEP and other employment programs. Some SES clients might not have the skills or motivation required for entrepreneurship and would therefore be better served through other forms of assistance. The SES is also expected to play a very important role in mediating labor market inclusion of able-bodied poor and vulnerable adult beneficiaries of the TSSA program. Thus, the SES should strengthen its outreach services to vulnerable populations and offer flexible programs and multiple services to address this groups' diverse needs. To this end, Component 2 covers the introduction of a case management approach in the SES. Furthermore, to perform its job-matching task, the SES needs to understand the skills of jobseekers and skills demanded by employers. Component 2 will support developing necessary tools and capacity-building activities related to exploring and updating this kind of information. Another technical support activity under Component 2 is the development of a strategy for expansion and improvement of the VTCs to allow the MLSPP to increase its VTC capacity in a sustainable and high-quality manner.

Subcomponent 2.1: Labor market assessment and development of a VTC strategy (US$0.7 million)

31. **This subcomponent will support the SES in assessing and responding to short- and medium-term skills demanded by employers.** To this end, the subcomponent will finance a comprehensive labor market assessment to improve the SES' capacity to identify critical occupations and skills most demanded by employers. The results of the labor market demand analysis will help scale up the menu of employment services and ALMPs offered to support jobseekers. In this regard, this subcomponent will also finance technical analysis and quantitative/qualitative surveys. It is expected that the SES will regularly update this analysis to meet the changing needs of the labor market. The subcomponent will finance the SES' staff capacity-building activities such as staff training, producing user manuals, and so on to enable them to regularly update the analysis on their own in the future.

32. **The subcomponent will also finance the development of a strategy for expansion and improvement of the VTCs.** The strategy will involve all aspects necessary for the development of efficient and effective VTCs, spanning physical infrastructure standards to training module development/improvement guidelines to ensure the relevance of curricula and qualification offered to labor market needs. This activity is complementary to the market demand analysis mentioned earlier. Outputs of the labor market demand analysis will serve as inputs for this activity.

Subcomponent 2.2: Outreach, profiling, skills assessment, and case management for jobseekers (US$1.3 million)

33. **This subcomponent will deliver further activities to improve job matching rates in SES.** The project will finance the following:

(a) Development and rollout of a communication and outreach strategy targeting both the inactive and unregistered population as well as firms;

(b) Development of a statistical jobseeker profiling tool and a skills assessment test for jobseekers;

(c) Development of online instruments to integrate the profiling tool and skills assessment to the SES MIS;

(d) Development and introduction of a case management model in the SES; and

(e) Production of user manuals and training materials and the delivery of SES staff training in using these instruments.

34. To address the low rate of economic activity among women in Azerbaijan, outreach activities will be tailored to suit inactive females, with a view to increase their registration with the SES as jobseekers. Case management approaches will also be developed with a view to respond to gender-specific labor market barriers (for example, care responsibilities or transportation constraints). To this end, gender sensitivity trainings will be organized for a subset of the SES job counselors.

35. **To serve difficult-to-reach populations and increase the number of registered vacancies in the SES, communication and outreach activities are essential**. This activity will ensure that employers and vulnerable jobseekers are aware of SES services and are encouraged to participate. In addition, implementation of outreach and communication activities to hard-to-serve populations and employers will allow the SES to expand the coverage of vulnerable jobseekers, many of whom are now excluded, and employers. This will be achieved through (a) developing a communication and outreach strategy and (b) implementing it at the local level.

36. **Once the SES reaches a more diverse population, it needs to segment clients based on their employability.** Counseling and employment programs that will be provided to jobseekers should depend on their skills and needs. This activity aims to develop skills profiling and assessment tools and support the capacity of the SES to employ those tools.

37. **The project will also support the development of a case management approach in the SES.** The SES is expected to tailor its package of employment support services to beneficiaries, particularly those who are difficult to serve. To this end, the component will include the development of a case management approach which will include needs and skills assessment for at-risk jobseekers, referrals to counseling and job search assistance, skills training, and/or placement in on-the-job training or job placement services that are customized to the maximum extent to the needs of the individuals. The results of profiling and skills assessment tools will provide inputs for the individual service strategy that will be implemented under the case management.

Component 3: Project management, monitoring, and evaluation (US$2.5 million)

38. **The objective of this component is to strengthen the capacity of the MLSPP to implement the proposed project and use M&E data** on labor market interventions that the ministry implements, including through the SES. This component will inform evidence-based policy making by providing the Government with a strengthened M&E system. This system will be a critical input to labor policy decisions in the future.

Subcomponent 3.1: Project management (US$1.3 million)

39. **This subcomponent will finance a Project Implementation Unit (PIU) in the MLSPP to manage the overall project.** The PIU will be responsible for the procurement, financial management, social and environmental requirements, as well as monitoring and regularly reporting on the implementation of the three components, in compliance with World Bank fiduciary and reporting requirements. This subcomponent will finance consultants' fees for the PIU staff, equipment (including IT related) and software as necessary for project management, and operational costs. It will also finance the required annual financial and technical audits of the project.

Subcomponent 3.2: Monitoring and evaluation (US$1.2 million)

40. **This subcomponent will support the MLSPP to strengthen its M&E system to better track project implementation and monitor key labor market interventions**. This will ensure that programs' operations follow expected design and procedures, receive systematic and organized feedback from beneficiaries and employers, and assess key labor market interventions to foster a positive feedback loop into policy making and program design updates. The proposed activities under this subcomponent and Subcomponent 2.2 will be carried out in accordance with international best practices.

41. **Specifically, the M&E capacity will be strengthened at three levels: SEP, SES, and ministerial.**

- **At the program level,** the subcomponent will finance (a) upgrading of data collection capabilities of the SEP module in the existing MIS system, (b) two process evaluations of the SEP operations during Year 2 and 3/4 of the project, and (c) an impact evaluation of the SEP in Year 3 of the project.[31]

- **At the SES level,** the subcomponent will finance (a) the development of a software to generate key statistics on SES activities and outcomes; (b) two annual tracer studies of trajectories of jobseekers placed through the SES; (c) regular training for SES staff to improve data collection and analysis skills (including specialized training on large database, cybersecurity, personal data protection, and IT management); and (d) an employer satisfaction survey to collect their feedback on the SES' services and programs .

- **At the ministry level,** the subcomponent will (a) support the development of a sectoral Results Framework; (b) improve the capacity of the MLSPP Department of Employment Policy and Demography to generate knowledge and analysis for evidence-based decision making through training (including specialized training on large database, cybersecurity, personal data protection, and IT management); (c) develop the concept, operational guidelines, and the MIS module for a grievance redressal mechanism (GRM) system for the SES; and (d) conduct two project beneficiary assessment surveys in Year 2 and 4 of the project of a sample of registered jobseekers (including beneficiaries of the SEP).

[31] Persons receiving state targeted social aid, PWDs, children under the age of 18, persons registered as unemployed for more than one year, persons having less than two years until retirement, and unemployed persons released from places of detention are given preference in the organization of the self-employment of unemployed people.

C. Project Beneficiaries

42. **Primary beneficiaries of the project are vulnerable groups in Azerbaijan.** Vulnerable people are defined in accordance with the Law on Employment as beneficiaries of the TSSA program, IDPs, refugees, women, youth, PWDs, long-term unemployed, individuals with less than two years until retirement, and former convicts.[32] The project will target in particular four of these groups: the TSSA beneficiaries, IDPs, women, and youth who are either inactive or unemployed registered with the SES. Employment refers to both self-employment and wage employment.

43. **Beneficiaries of Components 1 and 2 are unemployed people registered with the SES.** Component 1 targets vulnerable individuals identified as 'priority groups' by legislation[33] with a focus on women, youth, the TSSA beneficiaries, and IDPs. To address gender gaps in activity and employment, the project will encourage preferred participation of women in activities under both components through quotas (to be agreed and specified in the Project Operations Manual [POM]).

44. **Component 2 will further benefit the inactive and employees at risk of losing their jobs.** The component will pay special attention to existing workers at risk of losing their jobs and in need of being retrained. Appropriate outreach efforts—live and online—will ensure that all beneficiaries targeted by the project will be reached and properly informed.

D. Results Chain

45. **Against its development objective, the project aims to address unemployment and inactivity among vulnerable individuals** by expanding the SEP and providing a strengthened and more diverse set of services to SEP beneficiaries, as well as by improving the capacity of the SES to help workable individuals access job opportunities. To this end, the project aims to achieve the following key outcomes:

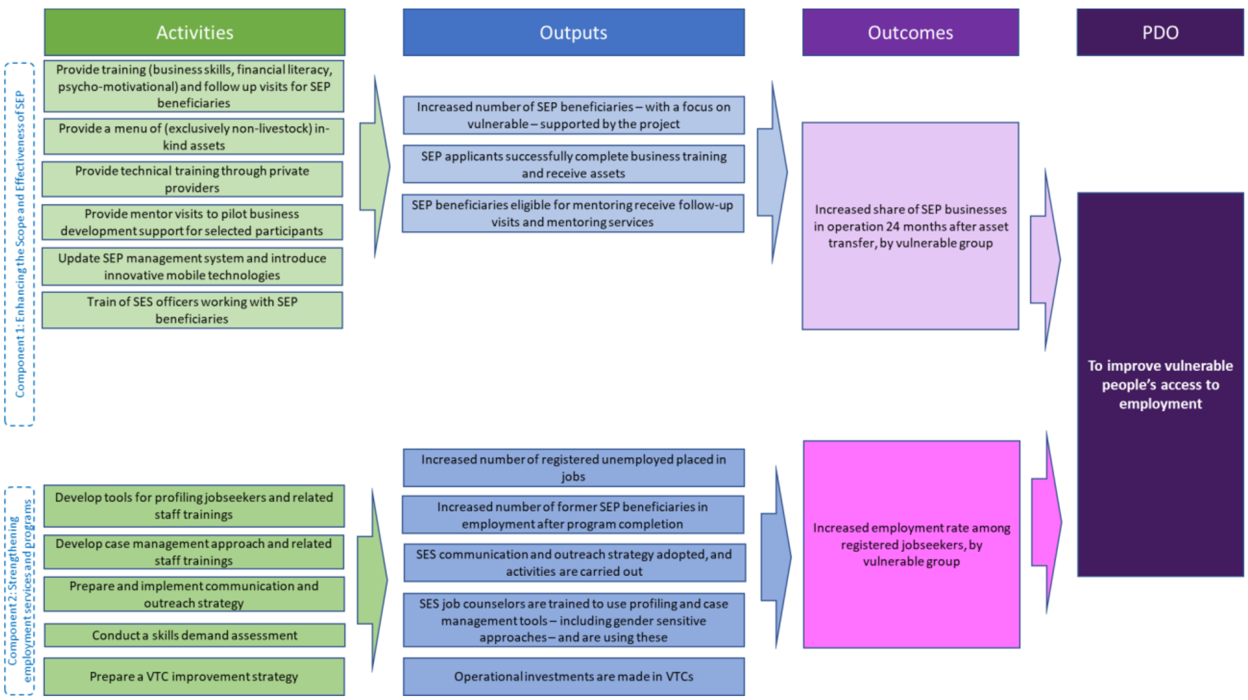
- Increased share of SEP businesses in operation 24 months after the asset transfer, by vulnerable group
- Increased employment rate among registered unemployed, by vulnerable group

46. **To achieve the first outcome, the project will provide in-kind assets to promote a diversified menu of income-generating activities through an improved targeting, skills training, and individualized approach**. The project will support improved business trainings (incorporating psycho-motivational and financial literacy modules) for the SEP beneficiaries, technical skills development, and a dedicated network of experts/mentors to provide business support to SEP beneficiaries during the first critical months of launching their business. These activities will allow the Government to maximize the impacts of the SEP by enabling beneficiaries to make best use of the assets, especially in the service and production sectors, and improving their profitability and sustainability over time, hence generating longer term employment. For a selected group of SEP beneficiaries with high potential to grow, the project will pilot interventions to boost the expansion of their businesses. Information sessions on access to finance and

[32] The definition is in accordance with Article 24.9 of the Law on Employment (No 1196-VQ, adopted on June 29, 2019) of the Republic of Azerbaijan.
[33] Azerbaijan's Law on Employment defines vulnerable groups as women, youth, IDPs, individuals with disabilities, former convicts, and the TSSA beneficiaries.

business support will further increase the likelihood of business survival. SES employment services and programs will better serve vulnerable registered jobseekers through improved tools for profiling jobseekers, improved case management approaches, improved understanding of the skills in demand, and strategic realignment of upgraded VTCs, as well as better communication and outreach with beneficiaries on SES programs. These tools will enable the SES to improve job matching between employers and registered vacancies with employers' needs and provide an improved menu of services and programs for vulnerable jobseekers, eventually improving the share of poor and vulnerable individuals in jobs after participating in SES-administered programs.

Figure 1. Project Results Chain



E. Rationale for Bank Involvement and Role of Partners

47. **Azerbaijan faces the challenge of fostering inclusive job creation, which the World Bank is well positioned to support.** This involves expanding access to jobs and income-generating opportunities for vulnerable individuals (women, youth, poor individuals as proxied by the TSSA beneficiaries, and IDPs) who are disadvantaged in the labor market because of lower education, limited access to information, cultural norms, family responsibilities, and mobility constraints among others. There is growing momentum for investments in economic inclusion programs that strengthen inclusive and sustainable growth building on the success of 'graduation programs' worldwide. Graduation programs—providing a package of interventions spanning cash transfers, financial inclusion, livelihoods, coaching, and empowerment—were first pioneered by the Bangladesh Rural Advancement Committee in Bangladesh and promoted globally by the Consultative Group to Assist the Poor and the Ford Foundation. Since 2002, graduation programs have been implemented in more than 40 countries. In the longer term, investing in people to build human capital through a World Bank engagement will increase the country's productivity

and growth prospects through better health and education systems and work-based learning opportunities. To this end, equalizing access to income-generating opportunities through the SEP and access to formal job opportunities through improved SES services will be instrumental in promoting economic inclusion and addressing existing labor market disparities in the country.

48. **While recent social protection reform achievements have been significant, considerable work still needs to be done to ensure that the social protection and labor system is inclusive of those in need, promotes human capital formation, and provides access to productive jobs.** The World Bank and the Government of Azerbaijan have jointly identified the following areas of collaboration: (a) further reform of the social protection system, including policies and service delivery mechanisms; (b) reform of labor market institutions, including labor policy formulation, the SEP, and other employment services; (c) reform of the VTCs under the MLSPP; and (d) reform of the policy and interventions for the protection and inclusion of vulnerable groups. This reform agenda would contribute to improving economic and social gains and savings for citizens and the Government by lowering transaction costs for receiving timely information and accessing benefits; better targeting of benefits; and effective job training, placement, search, and analysis of labor markets.

49. **The World Bank's engagement will capitalize on experiences with innovative practices for social protection and jobs reform to upgrade Azerbaijan's labor system.** The current design of the SEP relies on outdated information systems and beneficiary engagement approaches and technology. Based on its experience in implementing social protection and jobs interventions in other countries (in the region and globally) the World Bank is uniquely positioned to introduce innovative solutions in Azerbaijan. To this end, the project will finance (a) the upgrading and streamlining of the existing online beneficiary portal and (b) the introduction of a mobile application for SEP applicants and beneficiaries. Both these activities will make the SEP more streamlined and user friendly and will facilitate interaction between the SEPCOs and applicants or beneficiaries.

50. **The World Bank is collaborating with several partners to strengthen the social protection system in the country**. The United Nations Development Programme (UNDP) is currently piloting an intervention under the umbrella of the SEP that is specifically targeted toward PWDs. Over 2019–2024, the UNDP plans to assist 2,500 PWDs by tailoring the SEP interventions to international best practices. Individuals receive the equivalent of up to AZN 9,000 through in-kind asset transfers. In the course of project preparation, the World Bank team has drawn on the experience of several other development partners. The EU twinning project has provided recent diagnostic studies related to operational and institutional aspects of the SES: the findings of this work directly benefited the design of Component 2. The ILO—which first piloted the self-employment intervention in Azerbaijan—provided details and inputs related to trainings and monitoring arrangements that have been incorporated in Component 1. Going forward, the task will be closely coordinated with these agencies to ensure synergies and continuous learning from ongoing initiatives.

F. Lessons Learned and Reflected in the Project Design

51. **Programs supporting livelihood and entrepreneurship are important policy instruments to boost the income of poor and vulnerable** people by addressing labor market constraints related to limited

labor demand and by addressing financial and nonfinancial[34] constraints impeding their economic inclusion. Self-employment is the predominant form of economic activity and source of jobs in low- and middle-income countries.[35] While most of these self-employment activities do not ever grow beyond subsistence size, they represent the main source of income for the poor and vulnerable and, in some cases, a first step to evolve into growing businesses.

52. **Entrepreneurship programs that address both financial and nonfinancial constraints work better for the poor and vulnerable people (potential entrepreneurs), given their multiple constraints**. Global evidence shows that entrepreneurship programs addressing multiple constraints, hence combining business and technical skills development with financial support (in the form of either microloans, cash, or in kind transfers) and complementary services, have stronger impacts on business start-up and profitability than stand-alone interventions like microcredit, as access to finance may not be the binding constraint for many entrepreneurs.[36] Programs targeting vulnerable people require a multifaceted approach because poor and vulnerable people tend to face multiple challenges—in addition to lack of start-up capital either monetary of physical—including ones that are not financial in nature (for example, social) which require complementary services.[37] In addition, evidence from Chile and Mexico demonstrates that providing a comprehensive service package consisting of start-up capital, training, and follow-up visits has positive impacts on firm productivity, number of employees of firms, and wage employment of the self-employed in the long run.[38]

53. **The SEP in Azerbaijan—combining business training with in-kind assets provision—is an example of a 'graduation program' targeted to poor and vulnerable people that has demonstrated promising impacts on income and asset generation**. The graduation approach consists of a sequenced set of interventions (small cash transfers, in-kind asset transfer, business training, and coaching support for two years) aimed at tackling the multifaceted constraints faced by the poorest and most vulnerable households. The graduation into sustainable livelihoods approach following the Bangladesh Rural Advancement Committee model has increasingly been adapted and implemented in low- and middle-

[34] Financial constraints include prohibitively high interest rates and collateral requirements for vulnerable groups, while nonfinancial constraints encompass the absence of business knowledge, practices, and management capital; limited access to markets (value chains), networks, and mobility; and other factors.
[35] Ayyagari, M. Demirguc-Kunt. 2014. "Who Creates Jobs in Developing Countries", *Small Business Economics*, Vol. 43(1), pp.75-99; Haltiwanger et al. 2013.: "Who Creates Jobs? Small versus Large versus Young", *The Review of Economics and Statistics*, Vol. 14(2), OPP. 347-361
[36] Cho and Honorati. 2014. "Entrepreneurship Programs in Developing Countries: A Meta Regression Analysis." *Labor Economics* 28: 110–130; Blattman and Ralston. 2015. "Generating Employment in Poor and Fragile States: Evidence from Labor Market and Entrepreneurship Programs." Working Paper; and Kluve et al. 2016. "Do Youth Employment Program Improve Labor Market Outcomes: A Systematic Review." Discussion Paper 10263, Institute for the Study of Labor (IZA), Bonn.
[37] World Bank projects that take into account a combined approach include, among others, the Employment Support Project for Syrians Under Temporary Protection and Turkish Citizens (P161670); Development of Business and Entrepreneurship for Syrians under Temporary Protection and Turkish Citizens Project (P168731) in Turkey; the MNA Micro, Small, and Medium Enterprise Financing Facility" (P124341) in Tunisia; the Women's Economic Empowerment Rural Development Project (P164443); the Rural Enterprise Development Program (P110407) in Afghanistan; and Creating Economic Opportunities in Support of the Lebanon National Jobs Program (PforR) (P163576) have provided relevant lessons.
[38] Bruhn, M., Karlan, D., and Schoar, A. 2018. "The Impact of Consulting Services on Small and Medium Enterprises: Evidence from a Randomized Trial in Mexico", *Journal of Political Economy*, Vol.126(2): 635 - 687; Martínez A., C., Puentes,E. and Ruiz-Tagle, J. 2018. "The Effects of Micro-entrepreneurship Programs on Labor Market Performance: Experimental Evidence from Chile.", *American Economic Journal: Applied Economics, Vol. 10 (2): 101-24.*

income countries (currently serving about 14 million people in total).[39] Rigorous impact evaluations across six countries have demonstrated promising impacts on income and asset generation, poverty reduction, and food security[40]. The study argues that, despite the sizable unit cost of the program, the program would have benefits of between 1.3 and 4.3 times the expenditure. Bedoya et al. (2019)[41] provide a significant contribution to the effectiveness of graduation programs in a fragile and conflict setting through the study in Afghanistan.

54. **The variations and proposed complementary interventions to the SEP supported by the project build on lessons learned from similar programs and impact evaluations**. Success factors that will be taken into account to strengthen the current deign of the SEP include (a) the need for regular coaching and face-to-face visits during the first months after business creation provided by experts; (b) quality assurance for the business training; (c) entrepreneurial attitude matters for success, not just a sound business plan; (d) the need to strengthen technical skills for nonfarming-related activities; (e) provision of access to networks; and (f) provision of links to business development services for beneficiaries who have higher potential to grow. The design of the proposed activities under Component 1 (mentoring visits, enhanced business training including psycho-based elements building an entrepreneurial mindset, and pooling incentives) reflect lessons learned from projects[42] and impact evaluations.[43]

55. **Evidence on the success of entrepreneurship support programs (for existing entrepreneurs) on business performance and sustainability is mixed**. Part of the problem is that the entrepreneurs are a heterogeneous group: some are innovative entrepreneurs with growth potential and ambitions,[44] whereas others are there by necessity (Schoar 2010).[45] This suggests that the impacts may depend on characteristics or attitudes of the entrepreneur, and that the targeting of business development services is critical for interventions to be cost-effective. Subcomponent 1.2 proposes to provide referrals to existing concessional loans, financial and business support services (managed by other ministries), and a subset of SEP beneficiaries who are identified as potential high-growth entrepreneurs (or 'gazelles') with the ability to expand their business size over time.

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[39] World Bank. 2018. *2018 State of the Sector Synthesis Report*. Partnership for Economic Inclusion. Washington, D.C.: World Bank Group.

[40] Banerjee, A et al. 2015. "A Multi-faceted Program Causes Lasting Progress for the Very Poor: Evidence from Six Countries." *Science*, Vol. 348(6236); Bedoya, G. 2019. "No Household Left Behind: Afghanistan targeting the Ultra Poor Impact Evaluation", Policy Research Working Paper No. 8877, World Bank Group, Washington, D.C.

[41] Bedoya 2019.

[42] Innovative Startups Fund Project (P161905) in Jordan, Financing Innovative Startups and SMEs Project (P150928) in Morocco, Catalyzing Entrepreneurship for Job Creation Project (P162835) in Egypt, Enhancing Access to Finance for Micro and Small Enterprises Project in Egypt (P116011), and Innovation and SME Growth Project (P127306) in Lebanon.

[43] Blattman, C. 2014. "Generating Skilled Self-Employment in Developing Countries: Experimental Evidence from Uganda"; McKenzie, D., Woodruff, C., de Mel, S. 2012. "One-Time Transfers of Cash or Capital Have Long-Lasting Effects on Microenterprises in Sri Lanka"; Fafchamps, M. and Quinn, S. 2015. "Networks and Manufacturing Firms in Africa: Results from a Randomized Field Experiment", NBER working paper 21132; Klinger, B., Schuendeln, M. 2011. "Can Entrepreneurial Activity be Taught? Quasi-Experimental Evidence from Central America", World Development, Vol. 39(9); McKenzie, D. 2015. "Identifying and Spurring High-Growth Entrepreneurship: Experimental Evidence from a Business Plan Competition."

[44] The degree of growth potential and ambitions, of course, varies. For example, according to the Global Entrepreneurship Monitor 2010 Global Report (Kelley et al. 2011), around 75 percent of new entrepreneurs, on average, do not expect to grow their business to more than four workers.

[45] Schoar, A. 2010. "The Divide between Subsistence and Transformational Entrepreneurship", NBER Working Paper No. 11765.

56. **Female entrepreneurs require tailored support approaches.** Integrating women into entrepreneurship activities requires gender-sensitive approaches, hand-holding, and networking, especially with local communities, as demonstrated by an innovative pilot to provide self-employment opportunities to rural women through business collectives that focus on entrepreneurship implemented under AzRIP-2.[46] The main lessons learned from this pilot demonstrate that on-site business incubation and support services are key to sustainability and scaling up of rural women's enterprises, and that peer-to-peer support and mentoring provide an affordable avenue for on-the-ground support. The pilot also demonstrated that women living in rural areas are most comfortable with food processing- or tailoring-related businesses, and allowing them to start their business in areas familiar to them and subsequently providing support to diversify into more sophisticated ventures (such as agribusiness and services) will increase their chances of success. These lessons are reflected in Subcomponents 1.1. and 1.2, which upgrade the choice of assets available to SEP participants to better tailor the program to women entrepreneurs.

57. **PESs need to be able to respond to multiple—often overlapping—employment barriers.** International literature as well as insights derived from other World Bank projects point out several best practices for the operation of a PES that will guide the capacity building and staff training provided under the project. Lessons from the Portraits of Labor Market Exclusion 2.0 (P153368) and Improving Employability for Inclusive Growth in Hungary (P163580) analytical tasks demonstrate that people who are unemployed, inactive, or precariously employed make up a very diverse group, and employment barriers – e.g. low skills, limited work experience, care responsibilities – tend to appear simultaneously. Project activities will therefore promote that employment service approaches in the SES recognize and respond to this diversity. These lessons are reflected in Component 2 of the project which provides technical assistance and capacity building to PESs to increase their ability to place clients in the job market.

III. IMPLEMENTATION ARRANGEMENTS

A. Institutional and Implementation Arrangements

58. **The project will be implemented under the leadership of the MLSPP.** The MLSPP is responsible for developing employment policies and monitoring their implementation, as well as the implementation of the means-tested TSSA program (which the proposed project is expected to better link with the SEP). Implementation will be supported by a PIU to be established within the MLSPP and will operate with the close involvement of the Employment Policy Department and the SES reporting to the MLSPP.

59. **The project will be implemented by the network of local SES centers under the MLSPP.** The key implementing body of the program will be local offices of the SES, while trainings will be delivered with

[46] This is a group entrepreneurship model (neighborhood groups of 10 to 20 women) started in March 2018. AzRIP-2 included an innovative pilot to provide self-employment to rural women through business collectives that focus on entrepreneurship. The level of success achieved in less than a year pointed to the need for investing in opportunities for rural women and in their skill development and unleashing their potential. See Wrobel, R. 2018. "Azerbaijan - Third Rural Investment Project: Using Technology for Development", Washington, D.C., World Bank.

the involvement of VTCs under the MLSPP. The project will leverage existing local coordination arrangements[47] at the level of rayons for advisory and consultative purposes.

60. **The project management structure will involve** (a) a Steering Group led by the MLSPP and involving the SES and the PIU that will meet quarterly to take stock of project implementation, discuss any deviations, and take action (if needed); representatives of the private sectors will also be part of the committee and (b) a Working Group led by the PIU and involving other relevant sectoral counterparts (for example, Ministry of Economy, Ministry of Agriculture, and the SSC).

61. **The PIU will be responsible for procurement, disbursement, monitoring, and reporting on the use of loan proceeds.** The PIU will include a director for this operation, who would have overall responsibility for the implementation of the proposed project on the ministry's side. Given the complexity and multisectoral feature of the project design, the PIU would also include at least two sector specialists, one focusing on self-employment and another on labor market programs. Further specialists on procurement, financial management, M&E, and environmental and social safeguards should also be hired by the PIU. The PIU will also hire consultants, business trainers, and mentors, who will be providing technical and business support to SEP beneficiaries. Implementation arrangements will ensure continuous strengthening of the MLSPP's capacity to promote long-term sustainability of the reforms.

B. Results Monitoring and Evaluation Arrangements

62. **The PDO-level and intermediate results indicators will be monitored** using the following sources and methodologies: (a) data collected through the MIS supported by the project, (b) regular data collection processes, (c) process evaluations, (d) an impact evaluation after Year 3, and (e) M&E assessments. The proposed data source, frequency, and responsibilities are outlined in the Results Framework. The POM will further clarify the monitoring protocols for each indicator. The targets and baselines of each indicator will be discussed and updated, together with the counterpart, during the appraisal mission, while considering the lessons learned and context.

63. **The project will provide institutional support and training to help the Government in developing and implementing a strong M&E framework and system.** The proposed project would support continued building of the MLSPP M&E capacity to better track program implementation, monitor key labor market interventions, and evaluate policy and programs based on the systematic and organized feedback from beneficiaries and the use of the MIS data. The PIU will be responsible for gathering the relevant reports and information from the MLSPP representatives and other relevant parties involved in project implementation to monitor the project Results Framework and for communicating with the World Bank according to the frequency of reports to be described in the project's Monitoring and Evaluation Plan. The PDO indicators include two outcome-level indicators to document the outcomes of activities supported by the project. A number of intermediate results indicators will be used to track periodic progress toward achieving the PDO. Day-to-day M&E duties will be carried out by the PIU's M&E specialist who will coordinate all M&E activities.

64. **To support strengthening the capacity for M&E, Component 3.2 will support** (a) the upgrade of functionalities of the SEP electronic and automated MIS; (b) the development of data analytics; (c) two

[47] The Regulation of Local Employment Centre of State Employment Service, Attachment No. 2. paragraph 7.5.1, requires that local SES centers discuss measures and activities with the local self-government bodies, to tackle unemployment.

process evaluations of the SEP, (d) an impact evaluation of the SEP; (e) at the SES level: development of software for improved data analysis, training of SES staff, and tracer studies; and (f) at the MLSPP level: development of performance indicators, training of staff for improved evidence-based decision making, development of guidelines and a GRM system for complaints management, and beneficiary assessment surveys.

C. Sustainability

65. **Project sustainability is supported through the Government's vision on the role of self-employment in activation and employment support policies.** Since the 2016 presidential decree on self-employment, the MLSPP has been gradually scaling up the SEP in 2018. The Government invested AZN 35.8 million from the Unemployment Insurance Fund to provide in-kind assets for self-employment activities (each worth up to AZN 7,000) to close to 8,000 beneficiaries and has committed to increasing this number to 10,000 by the end of 2019. Self-employment receives a prominent role in the Government's Employment Strategy, which sets out a vision of 'lower dependence' on social benefits and allowances and encourages transition from the TSSA to integration into the labor market. To this end, the strategy envisions the expansion of the scope of measures to support self-employment.

66. **Activities funded by the project build institutional capacity in a sustainable manner.** The project will focus on strengthening the system of self-employment through investments in governance, coordination, and implementation subsystems with a view to support the expansion and improve effectiveness, of the program. Moreover, a substantial share of project activities is focused on capacity building, training, and technical assistance to enhance capacity at the MLSPP and SES, both at the central and local levels. This approach is intended to ensure that programs, interventions, and other activities supported by the project are sustainable and, as appropriate, scalable after the implementation period of the operation closes. The proposed project will further support improving the efficiency of the program through improved targeting and lower administrative costs. Through improved targeting of vulnerable groups, financing becomes more efficient, and more funds will become available to expand the program to more poor people.

IV. PROJECT APPRAISAL SUMMARY

A. Technical, Economic, and Financial Analysis (if applicable)

67. **Entrepreneurship and employment support programs and services are key instruments for improving the labor market outcomes among groups of vulnerable people.** Programs supporting self-employment and entrepreneurship are important policy instruments to boost the income of the poor and vulnerable, for whom self-employment can be a key source of income. Such programs help address lack of labor demand and, more specifically, financial and nonfinancial constraints. Existing evidence from Organisation for Economic Co-operation and Development (OECD) and EU member states suggests that well-designed activation programs can have a positive impact on employment outcomes for program participants, including those who are recipients of income support. The evidence also indicates that activation and employment support programs tend to produce modest positive results in a cost-effective manner. The effectiveness of such programs tends to be hindered by high levels of informality, rural and immobile target populations, and low labor demand due to macroeconomic conditions. Effective employment promotion programs are generally aligned with the requirements of the authorizing

environment, including domestic policy challenges, employment opportunities, and institutional capacity; solid understanding of the needs and requirements of current and prospective clients of activation interventions; and choices of appropriate incentives along with policy instruments.

68. **The proposed project is therefore expected to yield measurable benefits.** The project is expected to increase the share of the TSSA beneficiaries and other vulnerable groups either in self-employment or in employment, providing pathways to productive (self-)employment activities and, in the long run, although beyond the scope of this project, contribute to improved living standards overall.

69. **The costs associated with the improvements of employment services and programs are expected to be offset by sustainable impacts.** The SEP implementation costs are currently estimated to be approximately AZN 7,000 for beneficiaries operating in the production and services sectors. The activities carried out under this project are expected to increase the costs of SEP implementation due to the additional complementary activities to strengthen program effectiveness. While the unit costs will be higher, the net present value (NPV) of impacts in terms of longer-term income-generating activities and sustainable income flows is expected to exceed the costs. Under a three-year benefit accrual scenario, Component 1 of the World Bank-funded project would lead to a benefit-cost ratio of 99 percent (estimated net benefits of AZN 7,097 per beneficiary) compared to the MLSPP-funded program's baseline of 55 percent (estimated net benefits of AZN 3,863). Under a seven-year benefit accrual scenario, the World Bank intervention will yield a benefit-cost ratio of 168 percent (or AZN 12,089 net benefits per beneficiary) versus the MLSPP baseline of 75 percent (or AZN 5,253 of net benefits per beneficiary), which is the equivalent of an additional AZN 150 million in net benefits (over the MLSPP program). Annex 3 provides a detailed cost-benefit analysis of Component 1.

70. **The higher benefit-cost ratio is due to the higher cost of improving training and mentoring for beneficiaries.** These activities more than paid for themselves, as beneficiaries have higher business survival rates and higher returns from their entrepreneurial activities. Project activities will also improve the effectiveness of selected labor market programs that in turn are expected to lead to higher job placements and eventually lower unemployment periods for beneficiaries, with a resulting positive impact on household consumption.

B. Fiduciary

(i) Financial Management

71. **The financial management arrangements for the project are acceptable to the World Bank, and they will be further strengthened through the finalization of the financial part of the POM.** The MLSPP will oversee overall implementation of the project, and the PIU to be established within the MLSPP will assume financial management responsibilities for the project and will be the focal point for reporting to the World Bank. A full set of unaudited interim financial reports (IFRs) will be submitted to the World Bank quarterly throughout the life of the project. The reports will incorporate detailed information on amounts transferred to the MLSPP from the Designated Account, amounts transferred to the beneficiaries, and any unused funds which were transferred from the Designated Account. Separately procured software will be used for project accounting and reporting. The software should prove solid performance on financial transparency and reliability of the project data. The annual audited project financial statements will be provided to the World Bank within six months of the end of each fiscal year and at the closing of the project.

72. **Appropriate internal controls and flow of funds arrangements designed and instituted within the MLSPP will be used for the project**. These are essential in ensuring proper controls and monitoring of the flow of funds and will ensure that the funds will flow only to the entitled beneficiaries and for intended purposes. Appropriate checks and evidence are instituted as requirements to provide reasonable assurance in this respect. The respective controls and procedures are described in annex 2 and detailed in the financial part of the POM for the project.

73. **The overall financial management risk is assessed to be Substantial**, and with adequate mitigation measures the risk is moderate, due to the complexity and specifics of the project.

(ii) Procurement

74. **Procurement will be carried out in accordance with the World Bank's 'Procurement Regulations for IPF Borrowers**: Procurement in Investment Project Financing Goods, Works, Non-Consulting and Consulting Services', dated July 1, 2016, and revised in November 2017 and August 2018. A Project Procurement Strategy for Development (PPSD) based on market analysis has been developed. A detailed Procurement Plan has been prepared for the first 18 months of the project implementation based on the PPSD's outcome. Project procurement communication and Procurement Plan implementation will be performed through the Systemic Tracking of Exchanges in Procurement (STEP) system.

75. **Procurement is planned to be conducted by the MLSPP/PIU who will be responsible for all procurements under the project.** Though the MLSPP had experience in implementing World Bank-funded projects and had past working exposure to the World Bank's old Procurement Guidelines, the MLSPP has no experience in the World Bank Procurement Regulations which is effective since July 1, 2016. The MLSPP will be responsible for few moderate value goods and consultancy contracts with international competition following World Bank Procurement Regulations, which needs relevant expertise. Considering these factors, the procurement risk rating is assessed as 'Substantial'. It has been agreed that the MLSPP will assign a staff as a procurement focal person for the project. In addition to that, the MLSPP will ensure full-time dedicated service of an experienced procurement consultant throughout the project life. Once the PIU is formed, the World Bank will arrange customized procurement training on the Procurement Framework, including the PPSD and STEP (details of procurement arrangements are mentioned under annex 2).

C. Legal Operational Policies

	Triggered?
Projects on International Waterways OP 7.50	No
Projects in Disputed Areas OP 7.60	No

D. Environmental and Social

76. **The environmental risk of the project is rated Moderate** because project activities will not cause environmental risk or affect human population and environment. The social risk is rated Moderate reflecting (a) significant political and governance risks outlined in the project concept note; (b) the required analysis of a broad range of social issues, including measures for improving beneficiary targeting;

(c) the capacity-building support to the client for effective stakeholder engagement; and (d) support for Environmental and Social Standards 2 and the overall Environmental and Social Framework compliance necessary for this project. Overall, the project does not have significant negative social impacts and the project aims to improve employment opportunities among women, youth, the TSSA beneficiaries, and IDPs who are either inactive or unemployed registered with the SES.

77. **Citizen engagement.** Local consultations with existing SEP beneficiaries as well as with potential SEP participants—representatives of the TSSA beneficiaries and/or vulnerable groups (women, youth, elderly, IDPs, PWDs)—have been conducted during the project preparation phase to strengthen the design. Citizen engagement and accountability measures will be developed and mainstreamed in the different project activities. Citizen engagement activities will include (a) periodical beneficiary satisfaction surveys, (b) a dedicated online consultation portal for continuous collection of beneficiary feedback, and (c) a participatory mechanism through local consultations to involve central and local stakeholders to provide a consultative platform related to economic sectors priorities for SEP-financed businesses and ensure local citizens' engagement. The project will also establish a GRM with specific activities linked to each component.

78. **Disability inclusion**. According to the MLSPP data, there are about 620,000 PWDs in Azerbaijan. Approximately 14 percent of the current SEP beneficiaries are PWDs. As Component 1 of the proposed project includes PWDs within its target group, the project is expected to directly contribute to the agenda of labor market inclusion of PWDs in Azerbaijan, complementing the UNDP's efforts to pilot SEP activities that would be better tailored to serve PWDs.

79. **Gender.** Azerbaijan has a substantial gender gap in labor force participation of around 22 percentage points, and a high share (approximately 30 percent) of female youth are NEET. The high female NEET rate could be a result of young women being on extended maternity leave, which is further exacerbated by strong social norms for women to stay at home together with a lack of childcare possibilities,[48] leading to the gap. Gender gap in employment demonstrates strong intersectionality with geography, with women being about 23 percent less likely to be employed in urban areas and about 17 percent less likely in rural areas. Finally, there is a considerable gender wage gap: women in urban and rural areas can expect to earn about 50 percent less than men. The project is expected to contribute to narrowing the gap between men and women's labor force participation through both participation in the SEP as well as in other programs implemented by the SES. To this end, specific actions outlined in (a) Subcomponent 1.3 will focus on strengthening outreach and application in local SES centers, particularly for women to increase their participation in the SEP and (b) Subcomponent 2.2 will support tailored outreach activities targeting inactive females, with a view to increase their registration with the SES as jobseekers and will support gender-sensitive case management approaches to consider labor market barriers specific to women (for example, childcare responsibilities). Moreover, citizen engagement activities described above will be designed to include consultations on gender issues related to access to the SEP and employment services in general. Quantitative analysis carried out in the context of the project will aim to identify and quantify specific constraints that women face in the labor market. Finally, the project will establish data collection mechanisms to facilitate the monitoring of gender results and impacts, with indicators disaggregated by gender, whenever possible.

[48] World Bank 2019.

80. **Climate co-benefits.** The potential to add adaptation co-benefits associated with the SEP is assessed. Azerbaijan's agricultural sector—where most of the SEP beneficiaries operate—is expected to be affected by climate change through (a) increasing temperatures in all three agricultural regions, (b) increasing variability of precipitation, (c) reduced river runoff, and (d) increased frequency and severity of extreme weather events. The project design will respond to these challenges by offering a more diversified set of options for the SEP beneficiaries to reduce the share of livestock-related businesses funded by the SEP, as well as by incorporating key measures[49] to address some of these issues, such as improved access to agronomic technology (through technical training), links with financial sources, incentives to consolidate the SEP business (agriculture) through cooperatives, and supporting agrobusiness activities through the SEP.

V. GRIEVANCE REDRESS SERVICES

81. **Communities and individuals who believe that they are adversely affected by a World Bank supported project may submit complaints to existing project-level grievance redress mechanisms or the World Bank's Grievance Redress Service (GRS).** The GRS ensures that complaints received are promptly reviewed in order to address project-related concerns. Project affected communities and individuals may submit their complaint to the Bank's independent Inspection Panel which determines whether harm occurred, or could occur, as a result of World Bank non-compliance with its policies and procedures. Complaints may be submitted at any time after concerns have been brought directly to the World Bank's attention, and Bank Management has been given an opportunity to respond.

VI. KEY RISKS

82. **The overall project risk is Substantial** given the political and governance risks as well as risks associated with technical design, institutional capacity, and fiduciary management. An overview of risks is presented in the following paragraphs**.**

83. **Political and governance risks are Substantial.** In the country, a new government set up after the presidential elections in April 2018 introduced changes to the country's key leadership positions and a number of reforms in the financial sector, business environment, and social protection and jobs. The risk has been upgraded to Substantial in line with the PLR of the CPF for Azerbaijan for FY16–FY20.

84. **Macroeconomic risk is Moderate.** The country's economic performance is expected to strengthen over the medium term. This remains to be driven mostly from increased natural gas exports; however, it will serve only as a temporary boost. In the absence of structural reforms, reducing the state footprint in the economy, fostering competition, and allowing private sector participation, non-oil sector growth is expected to remain sluggish. The fiscal balance is projected to remain in surplus (with the assumption that oil prices will remain firm in the medium term and the Government will adhere to the fiscal rule adopted in 2018). However, the economy is still exposed to risks posed by the high volatility of oil prices and growing global economic tensions. Potential negative impacts of the macroeconomic shocks on the poor, if any, could be mitigated by promoting their access to self-employment opportunities.

[49] World Bank. 2014. *Reducing the Vulnerability of Azerbaijan's Agricultural Systems to Climate Change.* A World Bank study. Washington, D.C., World Bank.

85. **Sector strategies and policies risk is Moderate.** Developing self-employment measures is a high priority in Azerbaijan. Improving the coverage as well as the effectiveness and efficiency of the SEP (which is also part of the national employment strategy) and improving effectiveness of ALMPs, in general, is expected to remain at the forefront of employment and social policies in the coming years, and the risk of being affected by political decisions seems to be moderate. Implementing reforms to improve the program require effective coordination both vertically (that is, between the SES and MLSPP), as well as horizontally (that is, among the MLSPP and other relevant line ministries, such as the Ministry of Economy or the Ministry of Agriculture). The team will mitigate this risk by ongoing policy dialogue and technical assistance, as well as coordination with key development partners supporting the Government (for example, EU, UNDP, and ILO).

86. **Technical design of project risk is Substantial.** The project is supporting activities in which the Government has demonstrated strong ownership, that are high in the policy agenda, and that respond to needs the Government is aware of. The technical design of the project, however, is expected to be complex and will require significant adjustments to the existing interventions to be successful, including in technical areas where the client's knowledge is emerging. For example, linking the SEP better with ALMPs, or developing complementary business support measures, will require a significant amount of technical assistance provided to the client and developed and coordinated with the involvement of the PIU.

87. **Institutional capacity for implementation- and sustainability-related risks are Substantial.** The MLSPP has limited capacity to administer and track programs and monitor results. The implementation of the SEP and other ALMPs is under the responsibility of the SES, but the implementation of complementary support measures requires effective interagency coordination with other line ministries, including reporting and monitoring. Finally, the ministry has limited capacity to perform activities related to procurement and financial management. The compliance of the MLSPP data and information system with acceptable personal data policies has not been assessed at project design. To mitigate this risk, all components of the project involve capacity building that will be carried out by the PIU. An assessment of the security of the MLSPP IT security and compliance with data protection policies will be conducted during implementation to ensure that personal data are protected.

88. **Stakeholder-related risks are Moderate.** The project will affect a broad group of stakeholders. Those are vulnerable groups of jobseekers who are youth, women, IDPs, PWDs, and those with lower levels of education, including the TSSA program beneficiaries and SES service providers. It is expected that the project will provide more income-generating opportunities for the vulnerable groups, while helping strengthening capacity for SES staff. If any stakeholder issues arise before or during the project implementation, they will be managed through a comprehensive stakeholder engagement process.

89. **Fiduciary risk is Substantial.** The MLSPP has implemented the Social Protection Development Project (P105116) which closed in 2015. Based on the financial and procurement assessments, the fiduciary risk is rated Substantial as the volume of transactions carried out in the course of the project is high. All project procurement will be done centrally by the PIU and the package size and qualification requirement will be set based on market analysis.

90. **Environmental risks are Moderate.** The environmental risk of the project is rated Moderate because potential adverse risks to and impacts on human population and environment are expected to be negligible. The environmental aspects of the project are mainly those associated with introduction of

the best environmental management practices and occupational health and safety standards through various training programs aimed at development of specific skills to improve employability of jobseekers, especially for vulnerable groups of population. No environmental due diligence instrument is required to be prepared. References to the general Environmental Health and Safety Guidelines (EHSGs) and, as appropriate, to the industry-specific EHSGs and Good International Industry Practices, will be duly incorporated in the design and scope of the training programs and advisory services to be supported by the project.

91. **The social risk is rated Moderate** because the project does not have significant negative social impacts and aims to improve employment opportunities among vulnerable groups of people/jobseekers: youth, women, IDPs, PWDs, and those with lower levels of education, including beneficiaries of the TSSA program. The project will achieve this primarily through improving the effectiveness and enhancing the scale of the existing SEP and by strengthening the capacity of SES to deliver employment services. At this stage, data on the potential beneficiaries are not known. There is a risk of exclusion and inclusion errors. Exclusion error fails to target people who actually need to benefit, whereas, inclusion error may cause inefficient targeting of the project beneficiaries. From the social perspective exclusion error is more significant. Also, as part of Component 1, it is proposed to improve the targeting of the SEP by a screening of individuals for their entrepreneurial attitude and knowledge to business development in sectors other than agriculture. Because not all jobseekers will have the motivation or be able to become a successful entrepreneur, accessing the TSSA and SES will become critical to project-affected parties. The project design needs to address the risk of exclusion error and ensure that people who actually need to benefit are ‘included’ in the project and will be able to participate and derive full benefits from the project. Toward this, a social assessment will be conducted to inform the targeting or profiling of the TSSA vulnerable groups and minimize the potential exclusion error, as will outreach and program promotion activities to ensure that targeted groups are aware of and able to access program benefits.

VII. RESULTS FRAMEWORK AND MONITORING

Results Framework
COUNTRY: Azerbaijan
Employment Support Project

Project Development Objectives(s)

The Project Development Objective is to improve vulnerable people's access to employment.

Project Development Objective Indicators

Indicator Name	DLI	Baseline	End Target
Increased share of SEP businesses in operation 24 months after asset transfer, by vulnerable group			
Share of SEP businesses in operation 24 months after asset transfer, by vulnerable group (Percentage)		0.00	50.00
Increased employment rate among registered unemployed, by vulnerable groups			
Employment rate among vulnerable registered jobseeksers, by vulnerable groups (Percentage)		35.00	40.00

Intermediate Results Indicators by Components

Indicator Name	DLI	Baseline	End Target
Enhancing the scope and effectiveness of the Self-Employment Program			
Number of SEP beneficiaries supported by the project (Number)		0.00	22,000.00

Indicator Name	DLI	Baseline	End Target
Share of female SEP beneficiaries (Percentage)		24.00	40.00
Share of SEP beneficiaries receiving follow up visits (Percentage)		0.00	100.00
Number of SEP beneficiaries receiving mentoring services (Number)		0.00	8,800.00
Number of successful SEP applicants completing the business training (Number)		0.00	27,000.00
Number of successful SEP applicants receiving assets (Number)		0.00	22,000.00
TSSA transition strategy is finalized and adopted (Yes/No)		No	Yes
A mobile application for SEP beneficiaries is developed and operational (Yes/No)		No	Yes
Number of rayons where the project operates (Number)		0.00	52.00
Number of rayons with semi-annual local consultations on planning or implementation of SEP activities (Number)		0.00	52.00
Share of SEP businesses in operation 12 months after asset transfer, by vulnerable group (Percentage)		0.00	70.00
Strengthening employment services and programs			
Communication and outreach strategy adopted (Yes/No)		No	Yes
Number of communication and dissemination activities conducted per rayon (Number)		0.00	10.00
Number of SES staff trained on profiling tools (Number)		0.00	165.00
Number of SES staff trained on case management tools (Number)		0.00	100.00
Number of individual action plans developed for newly registered jobseekers at risk of long-term unemployment (Number)		0.00	3,200.00
Labor skills demand assessment is completed (Yes/No)		No	Yes
Share of SES job counselors receiving gender sensitivity training during the program (Percentage)		0.00	100.00

Indicator Name	DLI	Baseline	End Target
VTC strategy is adopted and operational/IT investments made in VTCs (Yes/No)		No	Yes
Newly registered unemployed profiled (Number)		0.00	21,000.00
Registered jobseekers placed in jobs thanks to SES intermediation services (Number)		75,000.00	85,000.00
Number of communication and outreach activities per rayon targeting women (Number)		0.00	15.00
jobseeker profiling system is operational and used by SES counselors (Yes/No)		No	Yes
Number of newly registered jobseekers with SES (Number)		10,000.00	20,000.00
Project management, monitoring and evaluation			
Number of monitoring reports produced and available online (Number)		0.00	8.00
Beneficiaries satisfaction with the program (Percentage)		0.00	90.00
SES MIS upgraded to include skills profiling tool and grievance redress mechanism (Yes/No)		No	Yes

Monitoring & Evaluation Plan: PDO Indicators

Indicator Name	Definition/Description	Frequency	Datasource	Methodology for Data Collection	Responsibility for Data Collection
Share of SEP businesses in operation 24 months after asset transfer, by vulnerable group	Calculated as: (number of SES businesses still alive 24 after asset transfer) / (number of SES businesses	every 6 months	PIU	MLSPP monitoring system	MLSPP

	that have received assets), overall and broken down by vulnerable group (women, youth, IDP, TSSA beneficiaries)				
Employment rate among vulnerable registered jobseeksers, by vulnerable groups	Calculated as: (number of registered jobseekers who are placed in jobs or SEP) / (overall number of registered jobseekers with SES), overall and broken down by vulnerable group (women, youth, IDP, TSSA beneficiaries)	every 6 months	MLSPP/SES Jobseekers: women 31%, youth 38.2%, IDPs 11%	MLSPP	MLSPP

Monitoring & Evaluation Plan: Intermediate Results Indicators					
Indicator Name	**Definition/Description**	**Frequency**	**Datasource**	**Methodology for Data Collection**	**Responsibility for Data Collection**
Number of SEP beneficiaries supported by the project	Calculated as overall number of SEP beneficiaries financed under the project	every 6 months	SEPIS integrated system	MLSPP admin data on the program	MLSPP
Share of female SEP beneficiaries	Calculated as: (Number of female SEP beneficiaries)/(Overall number of SEP beneficiaries)	every 6 months	MLSPP	MLSPP	MLSPP
Share of SEP beneficiaries receiving follow up visits	Calculated as: (Number of SEP beneficiaries receiving follow up visits) / (Number	every 6 months	SEPIS integrated system	admin data of the program	MLSPP

	of total SEP beneficiaries)				
Number of SEP beneficiaries receiving mentoring services	(Number of SEP beneficiaries receiving mentoring services)	6 months	MLSPP	MLSPP	MLSPP
Number of successful SEP applicants completing the business training	Calculated as: Number of successful SEP applicants completing the business training under the project	every 6 months	Ministry	regular reporting from the system	Ministry
Number of successful SEP applicants receiving assets	Calculated as: number of successful SEP applicants receiving assets under the project	every 6 months	Ministry/system		Ministry
TSSA transition strategy is finalized and adopted	confirms whether the transition strategy is finalized and adopted (yes/no)				
A mobile application for SEP beneficiaries is developed and operational					
Number of rayons where the project operates	Number of rayons the project operates in	MLSPP	MLSPP	MLSPP	MLSPP
Number of rayons with semi-annual local consultations on planning or implementation of SEP activities					MLSPP
Share of SEP businesses in operation 12 months after asset transfer, by vulnerable group					
Communication and outreach strategy adopted	The communication and outreach strategy is	every year	MLSPP	MLSPP	MLSPP

	prepared and adopted to better inform job seekers and employers				
Number of communication and dissemination activities conducted per rayon	Calculated as: Number of rayons where communication and outreach activities take place at least once a year	6months	MLSPP	MLSPP	MLSPP
Number of SES staff trained on profiling tools	Calculated as: Number of SES staff trained on profiling tools (number)				
Number of SES staff trained on case management tools	Calculated as: Number of SES staff trained on case management tools (number)	every 6 months	MLSPP/SES		MLSPP
Number of individual action plans developed for newly registered jobseekers at risk of long-term unemployment	Number of individual action plans developed for newly registered jobseekers at risk of long-term unemployment				
Labor skills demand assessment is completed	Confirms whether the labor skills demand assessment is completed	every 6 months	MLSPP/SES	Ministry data	MLSPP
Share of SES job counselors receiving gender sensitivity training during the program	Calculated as: (Number of SES councilors having received gender sensitivity training) / (Overall number of SES councilors)	every 6 months	MLSPP	MLSPP	MLSPP

VTC strategy is adopted and operational/IT investments made in VTCs	it monitors whether Operational/IT investments were made in VTCs to enhance their capacity	every 6 months	MLSPP	MLSPP	MLSPP
Newly registered unemployed profiled	calculated as: number of newly registered jobseekers	MLSPP	MLSPP	MLSPP	MLSPP
Registered jobseekers placed in jobs thanks to SES intermediation services		every six months	SES/DOST		SES and DOST
Number of communication and outreach activities per rayon targeting women	Number of communication and outreach activities per rayon targeting women				
jobseeker profiling system is operational and used by SES counselors	jobseeker profiling system operational and used by SES counselors				
Number of newly registered jobseekers with SES					
Number of monitoring reports produced and available online	number of monitoring reports produced and available online	MLSPP	MLSPP	MLSPP	MLSPP
Beneficiaries satisfaction with the program	Calculated as: (Number of SEP beneficiaries satisfied with the program)/(Number of SEP beneficiaries)				
SES MIS upgraded to include skills profiling tool and grievance redress mechanism	confirms if the SES MIS is upgraded to include skills profiling tool and grievance redress mechanism				

ANNEX 1: DETAILED PROJECT DESCRIPTION

Employment Support Project (P171250)

Project Description

1. **The Employment Support Project aims to improve vulnerable people's access to employment, through activities under the following three components**:

- Enhancing the scope and effectiveness of the Self-Employment Program (SEP)
- Strengthening employment services and programs
- Project management, monitoring and evaluation

Component 1: Enhancing the scope and effectiveness of the Self-Employment Program (SEP) (US$95.5 million)

2. **As part of the project, 22,000 new beneficiaries are expected to be provided with in-kind transfers and enhanced self-employment support.** In addition, the project will develop a support structure that enhances the effectiveness of the program.[50] This will be established by (a) strengthening the provision of business skills (including personality traits), business practices, and technical skills; (b) expanding the scope of the program toward income-generating activities not related to livestock (such as small manufacturing, food processing, and services); (c) introducing individualized business support services to increase the likelihood of business survival; and (d) providing private sector pathways for potential high growth SEP beneficiaries. In line with the currently implemented government program, the maximum amount of in-kind transfers provided by the project will be AZN 7,000. The project will start to be implemented in 27 regions of the country—elaborated in annex 2—and then will be scaled to additional areas by expanding its geographical scope to other rayons (as approved by the World Bank) after learning from the implementation experience of the first year. Beneficiaries will be primarily reached through the jobseeker registry. To address the low rate of economic activity among women in Azerbaijan, outreach activities will be tailored to inactive females, with a view to increase their registration with the SES as jobseekers. Case management approaches will also be developed with a view to consider gender-specific labor market barriers (for example, childcare responsibilities).

3. **Enhancing the SEP must address structural constraints in the currently implemented program.** This requires (a) expanding support toward services, manufacturing, and non-livestock agriculture ventures; (b) providing both technical and entrepreneurial knowledge and skills training to beneficiaries; (c) addressing the lack of self-confidence and other psychological barriers caused by long-term unemployment as well as social, economic, physical, or attitudinal vulnerabilities; and (d) linking the SEP with private sector opportunities and formal access to finance. International evidence[51] suggests that simultaneously addressing these challenges requires a comprehensive approach to selecting and supporting beneficiaries as well as a range of support services. Furthermore, expanded

[50] The project outlines the development of a support structure that has been designed to target beneficiaries funded from World Bank sources with a view to expand it to non-World Bank (government)-funded beneficiaries.
[51] Cho, Y. and Honorati, M. 2014. "Entrepreneurship Programs in Developing Countries: A Meta Regression Analysis", *Labor Economics*, Vol. 28©: 110-130; and Banerjee, A. et al. 2016. "The Long term Impacts of a "Graduation" Program: Evidence from West Bengal", published online at *https://economics.mit.edu/files/12031*

outreach activities, based on wider and deeper engagement of the SES in the community and the concurrent collection of client information, are a necessary condition for project success.

4. **The service provision process should combine case management with a participatory approach.** Support services will begin at the intake and induction of the SEP beneficiary and accompany them throughout the program. The project will also employ a participatory approach involving central and local stakeholders that will be involved in advising the project at the local level. SEPCOs—that is, staff currently employed in each local SES centers—will carry the case from application to completion. SEPCOs will serve as the guide of the beneficiary, helping them navigate the application process; identify specific technical or business knowledge needs and possible social challenges (low income, childcare responsibilities, and disability); and locate and make available suitable solutions and responses to each of these issues once the business plan has been approved.

Subcomponent 1.1: Expanding the program scale and scope of support (US$93.3 million)

5. **Subcomponent 1.1 will support program scale-up to 22,000 new clients and the development of additional training modules.** This subcomponent will support (a) the scale-up of the program over the project duration and (b) the development and implementation of specific business and financial skills training modules based on the ILO's standard SIYB[52] training module. In line with the currently implemented intervention, Subcomponent 1.1 will provide in-kind assets in the maximum amount of AZN 7,000. However, the assets offered by the program will be considerably more diverse. The program will move away from predominantly livestock agriculture toward exclusively proving in-kind assets in the form of tools, equipment, and machinery for small manufacturing, food processing, and services activities. In cooperation with the MLSPP, the team has established an initial list of assets that the program can finance. The choice of assets to be financed will be adapted to local economic conditions to ensure market relevance and the existence of value chains for the SEP business: this will be ensured through periodic consultations with local stakeholders through existing coordination mechanisms established by legislation. Based on the requests of current SEP beneficiaries, assets are requested to mostly enable income-generating activities for small manufacturing (for example, carpet weaving and carpentry); food processing (for example, confectionery and dairy processing); and services (for example, electricians and welders). This initial list will be periodically revised throughout the course of project implementation based on demand and approved business plans. The project's annual targets are summarized in table 1.1.

Table 1.1. Expected Number of Beneficiaries to be Financed from World Bank Source[a]

Year	2020	2021	2022	2023	2024	2025	*Total New Clients*
New beneficiaries	**2,000**	5,000	5,000	5,000	5,000		*22,000*

Note: In 2018, 7,267 applications were accepted out of 7,896 applicants, but only 6,018 were provided with assets. a. 10,000 beneficiaries are expected to be funded by the state budget every year

6. **The project will develop an enhanced application and selection mechanism to ensure greater transparency and sustainability.** The selection of beneficiaries will start with the verification of the applicant meeting the legal criteria for participating in the SEP based on the existing jobseeker registry and the cross-check with other administrative databases. Emphasis will be placed on proposed projects not related to agriculture and on applicants belonging to vulnerable groups (women, youth, IDPs, PWDs, former prisoners, and the TSSA recipients). The selection mechanism will be enhanced to give

[52] The SIYB training is among the largest global business management training programs with a focus on starting and improving businesses for people with lower education levels. It is structured into four separate training packages, which are designed to respond to the progressive stages of business development: (a) generating the business idea, (b) starting the business, (c) improving the business, and (d) expanding the business.

additional weight to these groups in selecting projects. The current application process will be complemented with mobile technologies. The project will finance a mobile app that will allow for online application and interaction between applicants/beneficiaries and SES staff. This facilitated interaction will allow for more timely assistance of beneficiaries if they encounter problems in their business plan execution. The app will facilitate information sharing and contact between the applicants and projects. It will also be able to accommodate monitoring or data collection—for example, submission of beneficiary data—and will be designed in a way that allows for future upgrades, for example, online payments. Once eligibility is verified, the applicant will undergo the following preparatory activities:

(a) A one-day orientation workshop elaborated in Subcomponent 1.2.

(b) A 40-hour SIYB training that will lead to the design of a fully developed business plan. The business plan will be reviewed and approved (or rejected) by an evaluation committee[53] comprising local technical experts, trainers, SES central staff, MLSPP staff, and head of the SES local office. The applicant's business plan may be either rejected, approved, or approved with the applicant having the option of taking technical training. At every juncture of the application process, the applicant may opt out of the SEP to reenter the SES. A detailed description of the application and induction process is presented in figure 1.1.

7. **The project will design and implement additional types of trainings for new SEP clients.** To support the scale-up and expansion of the SEP, the project will finance the development and delivery of new types of training to clients. First, 'orientation workshops' will be delivered to motivate the participants and manage expectations. These workshops will last one day and will be provided at the SES local offices. The current ILO's SIYB training will be strengthened to also include modules on financial literacy and 'personal initiative' training. In addition, SEP beneficiaries will be invited to improve technical skills relevant to the chosen vocation to support the success of the SEP business: technical training will be either delivered at the two VTCs managed by the MLSPP or outsourced to private service providers contracted by the PIU through project funds. To this end, the project will finance the upgrading of the MLSPP's VTCs and assist the MLSPP in establishing an adequate selection mechanism for private training providers.

8. **The SIYB entrepreneurship training will be enhanced to incorporate psycho-motivational elements to help improve entrepreneurial (soft) skills and foster a proactive mindset.** Vulnerable individuals, especially the poor, lack voice, self-esteem, and agency, that is, the capacity to act independently and make their own free choices. This deficiency is as important a barrier to entrepreneurship as lack of financial resources, financial literacy, or technical skills. According to international experience,[54] this is especially true for women in traditional societies, PWDs, and the long-term unemployed. Furthermore, emerging evidence[55] demonstrates that personal initiative training has a significantly higher impact than traditional business training (such as the ILO SIYB training) on profits and sales. Empowerment, inducing and maintaining SEP participants' determination, and building and reinforcing their self-esteem have central importance for a successful business. Against this background, the project-financed upgrading of the SIYB training, provided to all

[53] Currently, the evaluation committee comprises two experts from the SES and the head of the SES local office.
[54] See for example, Armendáriz, Beatriz, and Jonathan Morduch. 2010. "The Economics of Microfinance." Second edition. Cambridge, Massachusetts: MIT Press; or OECD/EU. 2016. "Inclusive Business Creation: Good Practice Compendium." OECD Publishing, Paris. *http://dx.doi.org/10.1787/9789264251496-en.*
[55] Campos, F. et al. 2018). "Teaching Personal Initiative Beats Traditional Training in Boosting Small Business in West Africa", *Science*, Vol. 257, Is. 6357; McKenzie, D. & Woodruff, C. 2017. "Business Practices in Small Firms in Developing Countries," *Management Science,* Vol. 63(9).

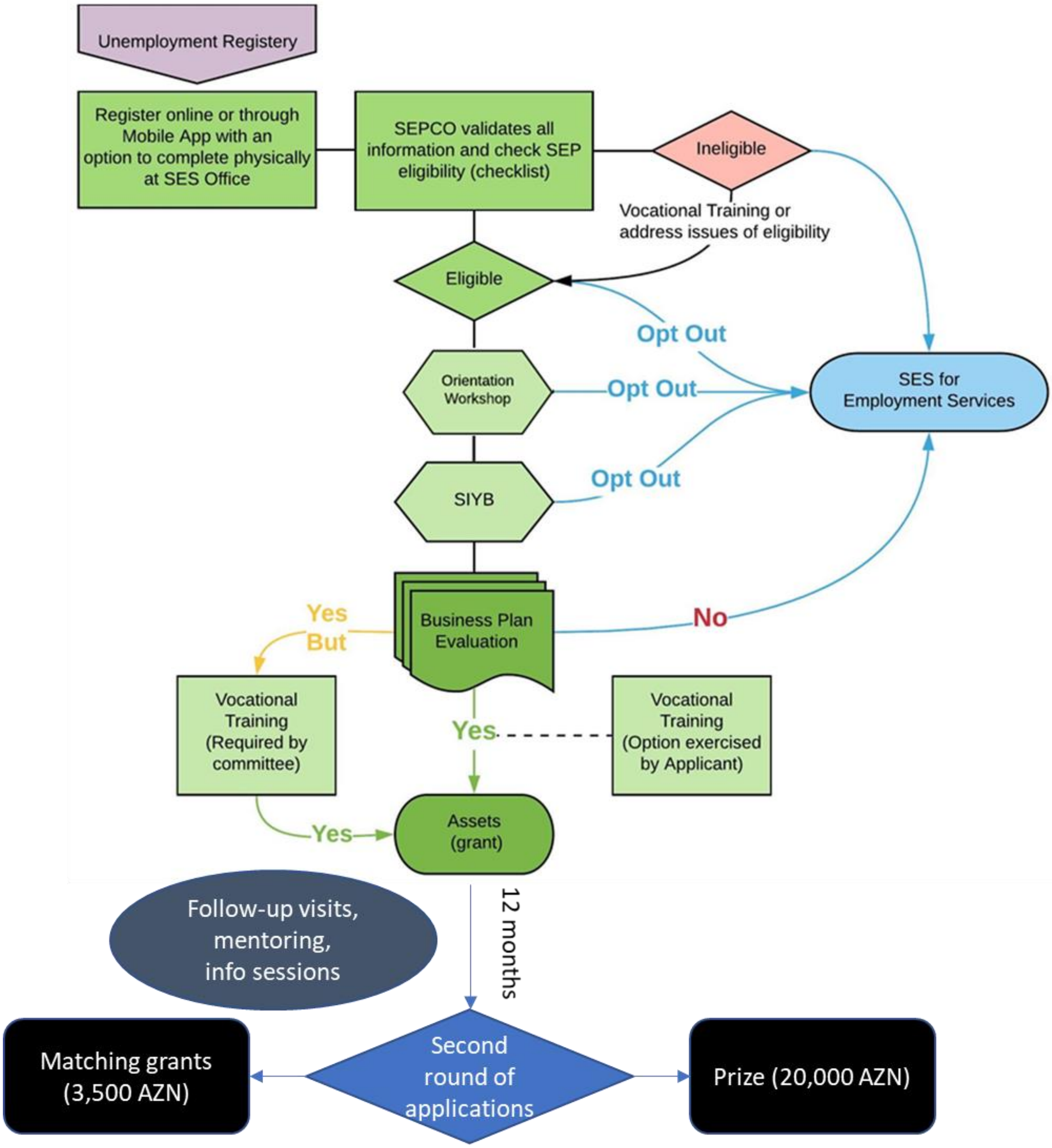
beneficiaries, will incorporate psycho-motivational elements based on relevant international good practices. The project will also finance the training of trainers to deliver the enhanced entrepreneurship module. As evidence shows that these types of trainings are especially effective for women, this subcomponent will enhance the gender sensitivity of the overall project.

9. **The SEP beneficiaries will be further provided with relevant technical skills trainings.** Technical skills training courses will be offered to the SEP participants, in line with the activities they intend to carry out as part of the program, to improve the use of assets as well as the profitability and sustainability of their businesses. These short-term trainings (with a duration of about one to three months) will be either provided through the VTCs (depending on available capacity and vocation needed by the SEP beneficiaries) or outsourced to private providers through a competitive selection among prequalified private training providers, as the majority of private providers in Azerbaijan are not accredited providers. The project will assist the MLSPP in ensuring a high-quality bidding process and selection of providers. Moreover, the MLSPP's own VTCs will also be used for these trainings, depending on geographic availability: this will be regulated by a collaboration protocol between the PIU and VTCs. Around 60 percent of beneficiaries (around 3,000 beneficiaries each year) are expected to receive technical training. During technical training, participants will get AZN 250 stipend to cover meal and transportation costs. The project will try to group SEP beneficiaries in classes of 15 each, based on course demand for cost effectiveness.

10. **To ensure high quality of trainings in the MLSPP VTCs, the project will upgrade instruction and equipment in the VTCs.** As part of the project, a basic training of trainers and curriculum upgrade of courses will be provided in the VTCs. The project will finance the development of new and upgrading of the existing training modules in the MLSPP's VTCs in line with international best practices. It will also finance the training of trainers in the VTCs with a particular focus on building their capacity for adult education and working with vulnerable individuals, areas where the VTC trainers currently do not receive training in. The training will initially be delivered through private training providers who will develop and deliver two modular programs. These two programs will then be transferred to the MLSPP for delivery by the VTC to new instructors and as a refresher course to be completed every 24 to 36 months. The project will further support equipment purchases by the VTCs. For example, to effectively support SEP ventures in the digital service sector, the project will finance training equipment such as 3D printers, computers, and at least one server to provide training on basic network support. Specialized equipment and trainings for improved pooling of agricultural assets—micro-dairy processing, processing and packaging food, and so on—may also be considered.

11. **The project will also provide financial incentives for beneficiaries to open bank accounts.** First, the project will subsidize the fee of opening of a bank account for all project beneficiaries. The subsidy, jointly with the financial literacy provided at the training, is expected to increase beneficairies' capacity to save and thus assist them in accumulating capital for business expansion.

Figure 1.1. Application and Business Support Activities in Component 1



Subcomponent 1.2: Testing the introduction of complementary business support services for selected SEP beneficiaries (US$1.7 million)

12. **This subcomponent will support complementary services aimed at expanding a select number of SEP businesses with higher potential to grow.** The objective of this subcomponent is to provide complementary services to promote business expansion of SEP businesses for a subset of SEP beneficiaries who have higher prospects to grow their business beyond subsistence. It is expected that

some of the businesses supported by the SEP[56] will maintain their livelihoods based on the sector of their in-kind transfer, some will exit their lines of business, while others will grow and hire additional labor.[57] This subcomponent is meant to implement, on a small-scale, activities that address informational, knowledge, and financial constraints that may prevent selected SEP business from growing. The performance of this subcomponent will inform the design of policies to bridge high growth potential SEP businesses with interventions targeted to microenterprises.

13. **This subcomponent will support the piloting and evaluation of a set of services to increase the likelihood of SEP business profitability and sustainability over time.** To this end, this subcomponent will invest in services that could turn small promising SEP businesses into growing businesses. Promising SEP businesses will be identified based on their business performance and plan to grow about 12 months after receiving the in-kind asset. Specifically, the subcomponent will finance the following services for a few selected SEP businesses:

(a) Provision of additional funding as a matching grant of maximum amount AZN 3,500 for those SEP beneficiaries who intend to expand their line of business based on adjudication of their expansion business plans;

(b) Larger business award to be awarded based on a business plan competition where proposals to scale up the business will be prepared, by SEP beneficiaries, and evaluated;

(c) Provision of individual mentoring visits and advisory services during the first four months of business operation focusing on relevant business skills and practices, including market development and intelligence, as well as management capacity; and

(d) Provision of informational sessions on the existing financial instruments that the SEP beneficiaries can use to attract additional financing to scale up their business.

14. **Providing matching grants and business awards to high growth potential SEP beneficiaries can help bridge the gap between SEP beneficiaries and access to formal finance.** Providing private sector pathways for poor and vulnerable entrepreneurs who lack collateral (hence are excluded from most formal financial lending options) but have the skills and entrepreneurial mindset to grow helps build-in graduation milestones. These milestones are both for public sector agencies wanting to understand and calibrate the sustainability of the SEP and also for beneficiaries who are provided with additional capital opportunities.

15. **Matching grant schemes have been extensively implemented by development agencies around the world, including the World Bank, as a private sector development policy instrument.** A matching grant is a short-term partial subsidy for investment and business development which is provided to SEP beneficiaries on a cost-sharing basis. As a subsidy, matching grants are used to support the financing of public goods or private goods that have positive spillovers on the economy. Usually, working capital is not an eligible expense for a matching grant. The funding of equipment and other assets by matching grants has been debated, with a smaller number of projects allowing the financing of specific and limited assets. Projects used matching grants as a cost-efficient mechanism to respond to specific market failures (such as lack of collateral, informational asymmetries, and weaker enterprise capabilities) in their contexts and achieve more specific objectives (for example, agribusiness

[56] Successful SEP beneficiaries are mandated to register their income-generating activity as a business within two years from receiving the in-kind asset.
[57] Currently a major constraint for micro and small and medium enterprises in Azerbaijan.

projects).[58] Matching grants and business awards must be appropriately tailored to local contexts and capacities. Matching grants and business awards should only be used when they are determined to be the most adapted and least-cost tool to reach the project objective in the specific local context. While there is no blueprint for designing a new matching grant scheme, some considerations from experience around the world inform how this can be introduced in the SEP in Azerbaijan and include the following:

(a) Active provision of technical assistance to firms during the entire process often increase the probability of success;

(b) Broad stakeholder engagement and transparency by the implementing agency minimize risks;

(c) Selection of service providers by the beneficiaries is more advantageous;

(d) Awarding of matching grants based on objective and transparent criteria;

(e) Level of subsidy should be sufficiently attractive for firms but should not be so high that it reduces their ownership; and

(f) Application and disbursement procedures should be simple.[59]

16. **This subcomponent will pilot the provision of additional capital in the form of either a matching grant or a business award for SEP beneficiaries who have high prospects to grow their line of business.** A second-round application window[60] will be opened for SEP beneficiaries who need additional capital for investment to expand their business about 12 months after receipt of the in-kind asset. This is to ensure that SEP beneficiaries have some time to use their in-kind asset, understand the performance of their business, and decide if they wish to apply for additional support. The application for both the matching grant and the business award will be a unified application. This application will mimic the requirements of a microfinance institution (MFI) loan application in Azerbaijan and will require more detailed information, especially on historic and projected cash flows, budgeting, accounting, and marketing of the SEP business. It will be a more vigorous application and screening process than the initial business plan evaluation. To be eligible to apply for this second round, SEP beneficiaries should prove that the in-kind asset they received through the SEP is still in use (that is, not sold or damaged) and that the line of business is functionally the same (more details will be provided in the POM). It is expected that high growth potential SEP beneficiaries will self-select by completing the form and applying.[61] Through a unified application process, SEP beneficiaries will be eligible for either a matching grant with a maximum amount of AZN 3,500 (on a 50:50 basis for the purchase of a new asset or service) or a larger business award of AZN 20,000 to support investment. Matching grants will be provided on a 50:50 basis to 280 beneficiaries during the project lifecycle, while the larger business award will be provided as a one-time cash transfer to two beneficiaries every year. An evaluation committee comprising stakeholders from development fund agencies, commercial

[58] World Bank. 2016. *How to Make Grants a Better Match for Private Sector Development: Review of World Bank Matching Grant Projects.* Washington, DC: World Bank.
[59] Ibid.
[60] SEP beneficiaries can apply only once to the SEP, based on current legislation.
[61] The application form will be more cumbersome and will help strengthen the pool. The importance of keeping financials from the beginning will be communicated as part of the business training, so that the more willing, opportunity-seeking entrepreneurs will see the benefit of maintaining financials from receipt of the in-kind asset.

banks with concessional loans,[62] and representatives of the SES will evaluate this second round of applications and adjudicate both the business awards and the matching grants. Table 1.2 summarizes the scope of these matching grants and business awards on a yearly basis.

Table 1.2. Cost Table for Subcomponent 1.2

	2020	2021	2022	2023	2024	Total
SEP beneficiaries						
World Bank funded	2,000	5,000	5,000	5,000	5,000	22,000
Government funded	10,000	10,000	10,000	10,000	10,000	50,000
Matching grant beneficiaries	0	70	70	70	70	280
Matching grant maximum amount (AZN)	3,500	3,500	3,500	3,500	3,500	
Matching grant total (AZN)	0	245,000	245,000	245,000	245,000	980,000
Business award beneficiaries	0	2	2	2	2	8
Business award per winner (AZN)	20,000	20,000	20,000	20,000	20,000	
Business award total (AZN)	0	40,000	40,000	40,000	40,000	160,000
Matching grant and business award total (US$)	0	168,150	168,150	168,150	168,150	672,600
Access to finance workshops (US$)	35,000	35,000	35,000	35,000	35,000	175,000
Mentoring visits[a]	89,000	190,000	190,000	190,000	190,000	849,000
Subcomponent 1.2 (US$)	124,000	393,150	393,150	393,150	393,150	1,696,600

Notes: US$ 1 = AZN 0.59. There are no matching grant or business award beneficiaries in 2020 as there is a one year waiting period for applications to open.
[a] The estimated number of mentoring visit beneficiaries is 8,800.

17. **The project will provide financing for local technical and business experts ('mentors') to carry out regular mentoring visits to support beneficiaries.** At the initial phase of the project, the PIU will generate and hire a roster of local experts—mentors—on various technical (for example, activity related) and business support (accounting and taxes) issues. Their salaries and travel costs will be financed through the project with the aim of the SES taking over the financing of mentors after the project ends. Mentors will establish a close relationship with the SEP beneficiaries once the in-kind support is delivered and the training is completed. It is expected that mentors will conduct six mentoring visits of about four hours in the course of the first year of implementation. Mentoring visits will serve to provide not only business (and moral) support, but also identify any skills gaps and technical challenges with project implementation, foster proactive mindsets, and help build managerial capital.

18. **The project will finance informational sessions on existing debt and equity options for formal access to finance for SEP beneficiaries.** These sessions will raise awareness among SEP beneficiaries about the different modalities of soft loans and business development services that they can have access to for expanding their businesses. In particular, the sessions will provide information on the subsidized agricultural credit program run by the Ministry of Agriculture, the business development

[62] As of end 2019 Q3, the MFI sector in Azerbaijan comprised 92 regulated MFIs, including 47 credit unions and 45 nonbank credit organizations. The total assets of the MFIs as of end September 2019 stood at AZN 314.4 million of which AZN 255 million. The share of MFIs assets in the total financial sector assets was 1 percent as of 2019 Q1; however, the sector plays an important role in financial inclusion and smaller-size loans.

services offered by the Small Business Development Agency, and the support services offered by the Entrepreneurship Development Fund. Table 1.2 shows the annual budget for these workshops. The main development funds agencies with concessional lending portfolios are the following:

(a) **Azerbaijan Mortgage and Credit Guarantee Fund** (established in December 2018 as a merger of the Credit Guarantee Fund and Azerbaijan Mortgage Fund). The fund owns a partial credit guarantee schemes (PSG) scheme and provides guarantees and subsidized interest rates on banks' lending to entrepreneurs, including small and medium enterprises.

(b) **Azerbaijan Entrepreneurship Development Fund** (formerly ANFES, established in 2002, renamed in 2018). The fund provides concessional lending to entrepreneurs, targeting different sectors of real economy, mainly agriculture. It serves large firms as well as small and medium enterprises and lends to public financial institutions (mainly banks) at 1 percent and banks onlend at 5 percent to 7 percent interest rate.

(c) **State Agency for Agricultural Credits** (reformatted in 2018). The agency sits under the Ministry of Agriculture and channels funds to farmers through public financial institutions. The onlending interest rate is between 5 percent and 6 percent.

(d) **Innovation Agency** (reformatted in 2018). The agency works with innovative start-ups.

(e) **Small and Medium Enterprise Development Agency** (established in 2017 under the Ministry of Economy) does not provide loans to the small and medium enterprises at this point. They plan to establish a Small and Medium Enterprise Development Fund to crowd in private investment into the small and medium enterprises sector. The model is still being discussed. The goal of this activity is to provide successful beneficiaries with the next stepping stone to be able to expand their businesses.

Subcomponent 1.3: Improving the governance and coordination mechanism of SEP (US$0.5 million)

19. **The project will train SES staff for improved engagement modalities with SEP clients and improved program implementation.** The project will provide training for existing SES staff working with SEP beneficiaries—further referred to as SEPCOs—to possess a basic understanding in all aspects of the SEP operations, from working with vulnerable groups to recognizing needs to understanding basic management accounting. In addition to their (existing) administrative functions, SEPCOs will be expected to carry out an expanded set of tasks, including technical and social support to clients. To this end, SEPCOs will be trained on (a) communication and client engagement, (b) M&E, (c) principles and practices of social work[63] (including identification of social and health constraints and referrals), (d) basic business feasibility, (e) basic management accounting, and (f) taxation.

20. **The project will also strengthen the outreach and application process for the SEP within local SES centers.** SEPCOs will promote the program among registered jobseekers online, as well as through live outreach activities such as local information days, and support clients throughout the application and implementation process, including by identifying and deploying dedicated technical and business experts from a roster of available consultants. Outreach activities will pay specific attention to women to increase their participation in the SEP.

[63] The social worker profession is very young in Azerbaijan, having been recognized by the Law on Social Services in 2012. The MLSPP jointly with the World Bank developed the national standards and criteria for social workers in 2013–2014. Currently, social workers are trained in seven universities.

21. **The project will finance interventions to improve the coordination between the TSSA and SEP.** Currently, the TSSA recipients become ineligible for the TSSA after receiving assets from the SEP. The MLSPP is planning to establish a three-month continuation from the moment the assets are received to provide a 'welfare bridge' for SEP participants. To ensure a smooth transition between these programs, the project will develop a strategy as well as operational modalities for the TSSA graduation, and for the entry/reentry of unsuccessful SEP beneficiaries (that is, whose business have failed and could not secure employment either through the SES) into the TSSA program.

22. **The project will also support trainings for frontline staff in social welfare offices who conduct the registration of the TSSA beneficiaries.** To ensure that TSSA recipients are aware of opportunities provided by the SEP and direct the TSSA recipients toward the shared services provided, the project will provide financing for training of front office staff who work at the point of beneficiary contact. The training will also provide information on the SEP information system as well as on the module connecting it with the TSSA.

23. **The project will upgrade the SES MIS related to managing the SEP, to aid the selection of an application by SEPCO.** The current SES MIS collects basic demographic variables and provides information on participants' vulnerability categories—with advanced data management and analytical capabilities. The MIS will be upgraded to allow for the development of a business intelligence dashboard to help synthesize information on the SEP both for decision support and transparency/accountability purposes, including a geospatial (project mapping) application. An evaluation system will be introduced to allow for a rigorous and transparent evaluation and tracking of beneficiary applications and data. The system will take into account data collected at the application and eligibility assessment stage—such as demographic information or location of the proposed business—and will be complemented by a ranking algorithm to prioritize vulnerable clients. The evaluation system will provide a well-documented pathway for transparency and accountability around SEPCO decisions. The system's links with the M&E arrangements will be further elaborated in Component 3.

24. **Streamlined online support services will be provided by the SES through a dedicated beneficiary support portal and mobile app.** The project will finance the development of a dedicated web portal launched in the first year and operated from the second year onward. The site will be easily accessible through a mobile application to allow clients of the SEP a versatile and convenient way to reach information and interact with the SES. The application can offer a range of information of various topics including (a) types of ventures with market information (statistics and links); (b) frequently asked questions and solutions repository; (c) interaction with SEPCO (such as booking appointments or other streamlined requests), communities of practice, and/or other SEP participants (for example, based on sector or geolocation); (d) case studies and success stories; (e) beneficiary tools such as bookkeeping or monitoring; (f) useful resources and links; and (g) initial registration along with a self-assessment and aptitude test to prepare the applicant before engaging with a SEPCO. The app will facilitate interaction between beneficiaries and the SES, allow for more timely service provision, and allow beneficiaries to request assistance from the SES if they encounter problems in establishing their businesses. Both the portal and the app will be linked to the Self-Employment Project Information System (SEPIS). The app may also accommodate mobile payment or fintech features that could introduce further flexibility into the program.

25. **An assessment of the country personal data protection policies and the MLSPP's data systems will be conducted during implementation to identify gaps**. The objective will be to put in place a framework for protecting personal data used in the program, strengthening the IT governance

and capacity, and ensuring that project personal data-related activities are carried out in accordance with international best practices.[64]

Component 2: Strengthening employment services and programs (US$2 million)

26. **Component 2 aims to support the SES' capacity to perform its core tasks in the employment service delivery chain including clients' assessment, counseling and job matching, and referral to appropriate employment programs.** This component complements the first component in achieving the overall objective of the project as it will allow the SES to adequately segment SES clients between the SEP and other employment programs (as of now only short-term adult technical training and workers' retraining are offered). In particular, some of the SES' clients might not have the skills or motivation required for entrepreneurship and would therefore be better served through other forms of assistance.

27. **Component 2 further aims at increasing the number and diversity of SES beneficiaries.** Vulnerable groups need to access SES services to increase their employability. Past analytical work conducted in Europe[65] suggests that vulnerable groups in the labor market tend to face multiple overlapping barriers, some directly related to education and skills, and some—such as health status or care responsibilities— outside of the purview of employment services. Against this background, the activities under Component 2 will strengthen the SES' outreach services toward vulnerable populations and tailor the SES' employment services with a view to address the diverse needs of vulnerable clients.

28. **Component 2 also aims to support the VTCs expansion and improvement efforts of the MLSPP.** The two vocational schools operated by the MLSPP are fully functional but require upgrading in certain areas if they are to provide labor market-relevant training to SEP participants. The two vocational schools operated by the MLSPP are based in Goychay and Baku. The schools provide short-term vocational trainings of two, two and a half, or three months duration for unemployed individuals registered with the SES. Students from other areas of the country receive a travel and living stipend for the duration of their training. The choice of training module is based largely on the supply of programs available at the school and not necessarily on the aptitude of the trainee. Furthermore, schools have limited autonomy as their budget and curricula are determined centrally. They also have only limited resources for outreach activities with employers and M&E of the success of their training programs. The activities under Component 2 will support the MLSPP in its efforts to upgrade the VTCs.

Subcomponent 2.1: Labor market assessment and development of a VTC strategy (US$0.7 million)

29. **This subcomponent will support the SES to assess the short- and medium-term skills demand.** This activity will finance a comprehensive labor market assessment to improve the SES' capacity to detect vacancies, critical occupations, and skills most demanded by employers. It will also build the SES' staff capacity (training of SES staff, producing user manuals, and so on) to enable them to replicate the analysis on their own regularly in the future. First, the project will finance a quantitative

[64] International Best Practice consists of the following: (i) (a) ensure the rights of individuals with respect to the fair and legitimate processing of their data, including that the purpose of collection and use of data are known to those individuals, (b) only that data which is necessary for the stated purposed are collected and used, (c) data be retained only for so long as is necessary for such purpose, and (d) individuals whose data is collected and used have the right to ensure the confidentiality and accuracy of that data, and (ii) data processors (a) take such measures as are necessary to ensure the security of such data and that such data are processed transparently, (b) undertake not to transfer such data to third parties without the consent of those individuals, and (c) provide procedures and mechanisms to enable the rights described above.

[65] Isik-Dikmelik, A., Mirey, O., Frieda, V., Natalia, M., and Sandor, K. 2018. *Portraits of Labor Market Exclusion 2.0: Synthesis Note (English)*. Washington, DC: World Bank. *http://documents.worldbank.org/curated/en/429631522094515647/Synthesis-Note.*

analysis to be conducted by using survey and administrative data sources, including the SES' own databases, the labor force survey data collected by the national statistical committee, data from the firm registry database, online vacancy bank data,[66] or online 'live' job postings available on public websites. Second, the project will design and implement a qualitative labor market needs assessment with both public and private employers and key stakeholders, such as local chambers. The analysis will ultimately provide a list of critical occupations and skills most demanded in the market. The occupation list will then serve as the basis for developing a skills demand repository, by employing a skill classification methodology. This repository will then be linked with the vacancies for improved job matching.

30. **The activity will further finance the development of a strategy for expansion and improvement of the VTCs.** The MLSPP plans to expand its VTCs in the next couple of years. Along with the expansion in the number of VTCs, they are also expected to have a capability to respond to the needs of the labor market through a constant adaptation of the training content and the teaching and learning processes.[67] The strategy will draw on the skills demand assessment and is expected to include the following aspects for the development of efficient and effective VTCs: (a) physical infrastructure standards; (b) training module development/improvement guidelines to ensure the relevance of curricula and qualifications to labor market needs; (c) lifelong learning path for changing roles, competences, and professional development of the VTC teachers and trainers; (d) ways of ensuring active involvement and participation of employers in training development and delivery; (e) organizational structure, management practices, and governance; (f) process chain for training delivery starting from trainee selection to certification; (g) national/international qualification standards; and (h) widening access and visibility particularly involving vulnerable groups in training.

Subcomponent 2.2: Outreach, profiling, skills assessment, and case management for jobseekers (US$1.3 million)

31. **The activity will finance the development and rollout of a communication and outreach strategy.** The strategy will aim at (a) strengthening the channels for reaching non-registered jobseekers (with a particular focus on vulnerable populations), (b) building awareness about the functioning and benefits of the SES services, (c) collecting job offers (vacancies) from private employers, and (d) facilitating firms' participation in available SES employment services and programs. The activity will also support the strategy's rollout. This may include communication campaigns, training, as well as advisory services to private employers. To address the low rate of economic activity among women in Azerbaijan, outreach activities will be tailored to inactive females, with a view to increase their registration with the SES as jobseekers. Case management approaches will also be developed with a view to consider gender-specific labor market barriers (for example, childcare responsibilities).

32. **The project will further finance the development of a statistical profiling tool and the development of skill assessment tests for jobseekers.** The profiling tool will be based on socioeconomic and demographic characteristics of jobseekers' data collected by the SES. Using an algorithm, it will assign jobseekers to different risk categories based on their statistical likelihood of long-term unemployment. The project will also finance the introduction of skill assessment tests, which will support improved job matching of registered jobseekers by connecting with the vacancy

[66] The SES has made a strong effort in developing self-services by introducing an online vacancy bank. In total, 120 desktops are made available for consulting vacancies as self-service in regional employment centers, vocational education centers, universities, and several public facilities. The provision of online vacancy information will be extended and further developed as part of an electronic labor contract registration system.

[67] Consultation with businesses reveal that graduates of these training centers do not meet the requirements of employers. In line with perceptions of the general education systems, there is limited cooperation between the training centers and private companies, and they perceive the curricula of these training centers as 'outdated' (World Bank 2019).

database enhanced through the skills demand repository, developed in Subcomponent 2.1. The skills tests are expected to be short—approximately 30 minutes each—and will be administered through online platforms. Tests are either self-paced or administered with support from a counselor at the SES local offices. The skills assessment tests are expected to be piloted in some localities before they are finalized.

33. **Training material on the use of the tools and delivery of training to the SES counselors will be provided.** The project will finance the (a) the development of online instruments to integrate the profiling tool and skills assessment to the SES MIS, (b) production of user manuals and training materials, and (c) training of SES staff in using these instruments. These activities will include the procurement and implementation of data analytics software, as well as capacity building in the MLSPP and SES. The skills assessment and profiling tools will be built on existing systems in coordination with ongoing projects and data management efforts in the MLSPP and SES.[68] Also, the project will finance user manuals and training materials about these tools. In conjunction with their introduction, SES staff will receive training on these instruments to be able to adequately identify what kind of support jobseekers with different characteristics (such as age, education, length of job search, TSSA participation) will require and what type of ALMP will likely work well for different kinds of jobseekers.

34. **The project will also support the development of a case management approach in the SES.** The SES is expected to tailor its package of employment support services to beneficiaries, particularly those who are difficult to serve. To this end, the component will include the development of a case management approach to include needs and skills assessment for at-risk jobseekers, referrals to counseling and job search assistance, skills training, and/or placement in on-the-job trainings or job placements that are customized to the maximum extent to the needs of the individuals.[69] The case management will include referrals to outside service providers (for example, social, health, care services) as needed. This approach will allow segmentation of the SES client/jobseeker base and will provide support to different groups through different agencies/intermediaries and ease the workload of the SES as well as provide more intensive and differentiated support, where necessary, to different groups of jobseekers. Given the specific labor market barriers women face, such as difficulties accessing training or employment opportunities due to care responsibilities or transportation constraints, the project will finance gender sensitivity trainings to be organized for a subset of SES job counselors.

Component 3: Project management, monitoring, and evaluation (US$2.5 million)

35. **The objective of this component is to strengthen the capacity of the MLSPP to implement the proposed project and use M&E data** on labor market interventions that the ministry implements, including through the SES. This component will inform evidence-based policy making by providing the Government with a strengthened M&E system. This system will be a critical input to labor policy decisions in the future.

[68] The New Law on Employment (signed on June 29, 2018) promotes the digitalization of employment services. For example, the law establishes a single information center (including using electronic information resources of state bodies and other agencies) for registration of employees as well as the procedure for electronic registration of unemployed and jobseekers. In addition to this, the project will also take into account the skills profiling tool design offered under the 'Support to the Ministry on Labor and Social Protection of the Population in Modernizing Public Employment Services in the Republic of Azerbaijan Project'. In that model, to evaluate employment possibilities, first, jobseekers are asked to fill a questionnaire. After the questionnaire is filled, the IT system sums up the pointed-out criteria and assigns the jobseeker to one of the three target groups of employment possibilities. The IT system takes into consideration crucial criteria as well as the age and duration of unemployment. Evaluation of employment opportunities is carried out repeatedly every three months after six months of active job search.

Subcomponent 3.1: Project management (US$1.3 million)

36. **The subcomponent will finance a PIU in the MLSPP to manage the overall project.** The PIU will be responsible for the procurement, financial management, social and environmental requirements, and monitoring and regularly reporting on the implementation of the three components, in compliance with World Bank fiduciary and reporting requirements. While the MLSPP has already implemented a World Bank project (P105116) and is relatively familiar with World Bank procedures, a strong team for procurement and contracts management will be needed given the expected high volume of large contracts (notably for the in-kind assets as part of the SEP) to be procured under Component 1.

37. **To this end, the subcomponent will finance consultants' fees for the PIU staff, equipment (including IT related) and software as necessary for project management and operational costs.** The establishment of a PIU satisfactory to the World Bank will also be a project effectiveness condition. To initiate project implementation, the PIU is expected to comprise, at the minimum, a PIU coordinator, a labor specialist fully dedicated to the SEP (Component 1), a financial management specialist, an accountant, and a procurement specialist. Once the project is effective, an M&E specialist and two part-time safeguard specialists will also join the PIU to ensure regular monitoring of the project's Results Framework and adherence with social and environmental requirements. The PIU will be directly supervised by the MLSPP and/or will report to any staff within the MLSPP appointed by the minister. The subcomponent will also finance the required annual financial audits for the entire project as well as annual technical audits for Components 1 and 2.

Subcomponent 3.2: Monitoring and evaluation (US$ 1.2 million)

38. **This subcomponent will support the MLSPP to strengthen its M&E system to better track implementation and monitor key labor market interventions**, ensure that the programs' operations are following expected design and procedures, receive systematic and organized feedback from beneficiaries and employers, assess key labor market interventions to foster a positive feedback loop into policy making, and update program design as needed. Specifically, the M&E capacity will be strengthened at three levels: the SEP level, the SES, and ministry level, respectively. The proposed activities under this subcomponent and Subcomponent 2.2 will be carried out in accordance with international best practices.

39. **Based on the M&E assessment conducted, some basic indicators on inputs, outputs, and outcomes of the SES activities are difficult to access.** Detailed performance and output indicators of the SES are not available to the team.[70] Annual reports are produced by the ministry to summarize main indicators on the SEP, though they are not publicly available. There is neither an electronic system to record and manage grievances nor clear procedural guidelines on how to address complaints.

40. **Current reporting by the MLSPP on the SEP suggests only limited M&E activities.** For its reporting and M&E requirements, the MLSPP operates an MIS with different subsystems by sector. The SES subsystem within the MLSPP MIS system contains and manages all data related to the employment registry, SEP, and vocational training. Using this data, the MLSPP generates quarterly, semiannual, and annual reports. However, the analysis in the reports is limited to description of the number of SEP participants. There is no evidence of socioeconomic analysis or of forecasting of participant numbers. The MLSPP's analysis provides only limited strategic insights that could be drawn

[70] The World Bank team would require M&E data on the number and characteristics of those receiving unemployment assistance benefits, the job placement rates among registered jobseekers, job offers' acceptance and refusals, the number of referrals made by job counselors, number of unemployed profiles created by the SES counselor, number of vacancies by occupation and employers' characteristics, and the characteristics of SEP applicants.

from the information collected about users of the SEP subsystem or data from the SEP monitoring visits.

41. **In addition, there is room to improve data warehouse and analytics capacity.** Despite the sophisticated IT data system the ministry invested in, information flow at the policy level is very limited. The assessment of the SES' M&E capacity, conducted during project preparations, indicates that the SES only collects descriptive indicators and does not have a quantifiable Results Framework in place. At the central level, the MLSPP department in charge of administrative record keeping on all labor market programs and policies lacks the instruments to collect, and synthetize in a systematic way, data coming from local branches. There is limited capacity to analyze survey microdata to track the performance of both social protection and labor programs over time, and assess their distributional impacts, including impacts on poverty and inequality. Critically a GRM system is absent for key programs such as the SEP, unemployment assistance, and sponsored vocational training.

42. **While the emerging MIS architecture is adequate to handle the operations of the MLSPP, better integration between subsystems, automated integration of relevant data from other government sources, and upgraded data infrastructure are needed to perform more complex performance analysis.** The MLSPP's new MIS (envisaged to be fully operational by January 2020) allows for a better client interface and more robust data storage and retrieval. However, there are numerous weaknesses in the new system: (a) the subsystems are connected to the central MLSPP database but not to each other; (b) there is an absence of data analysis tools; (c) data analysis is limited to description of past events; and (d) the database is what can be considered as a structured 'data lake'[71] thus limiting the ability to develop a business intelligence dashboard[72] or more complex analysis (diagnostic, predictive, and prescriptive). To perform more complex performance analysis the MIS architecture should be altered, and better data integration is required.

43. **To address current institutional and operational constraints in M&E, this subcomponent will finance activities to strengthen the M&E at different levels and promote independent evaluation.**

At the Program Level (SEP)

44. **Upgrade the functionalities of the SEP module in the existing MIS**[73] to collect data on applicants; eligibility verification and determination to the SEP; attendance and completion of different training (SIYB, technical, and psycho-motivational); business plan assessment outcomes; asset receipt amount and modality; number of completed mentoring visits; application to and eligibility determination for the pooling cash incentive and receipt of it; and profitability and sustainability of business established through the SEP over time.

45. **The development of a data analytics/IT** software to generate key statistics on the SEP and ensure interoperability with data from the new SES MIS (currently the ministry uses Excel-based reports, manually downloaded from the SEP database).

46. **Two process evaluations of the SEP** operations and procedures at different stages of the SEP implementation chain (from application, selection of beneficiaries, training, asset disbursement, follow-up visits, incentives, and constraints to develop cooperatives) to ensure that the SES delivers

[71] A data lake is a centralized repository that allows an entity to store all structured and unstructured data.
[72] A business intelligence dashboard is a visual information management tool that is used to track predefined key performance indicators (KPIs), metrics, other key data points, and especially insights.
[73] A brand-new MIS was developed to manage and monitor SES activities and is expected to be fully operational by December 2019, with portals in all SES branches. The centralized MIS is also expected to be integrated with other governmental databases.

the expected services to the target population on time and identify key bottlenecks. The first process evaluation will be carried out in Year 2, once all activities are operational, and the second in Year 3 or 4.

47. **A rigorous impact evaluation of the SEP to assess the impacts and cost-effectiveness of the SEP with the complementary support introduced through the proposed project.** The impact evaluation is planned to be carried out on the cohort of applicants in Year 3 of the project once the program variations introduced through the project (additional training, follow-up visits, mentoring, and matching grants) are fully operational. Eligible applicants to the SEP will be randomly assigned to three groups: (a) a first group of eligible applicants who will participate in the SEP activities with the variations introduced through the proposed World Bank project, (b) a second group that will participate in the SEP as it is currently implemented by the SES, and (c) a third group that will form a control group. A baseline survey will be collected before the implementation of the interventions and a follow-up survey will be implemented 12 months after receipt of the in-kind assets (before the project closing date). Outcomes (personal income, business sales and profits, employment status, and number of hours worked) and costs across the three groups will be compared to assess causal effects of the program and its cost-effectiveness.

At the SES Level

48. **The development of data analytics/IT software** to generate key statistics on the SES activities and outcomes based on the data of the new SES MIS. These IT tools should allow for regular monitoring of key indicators to track the performance of the different employment services/programs implemented by the SES beyond the SEP employment services and counseling, training, unemployment benefits, including input indicators (budget executed, administrative and equipment expenses, and number of staff employed by task); output indicators (that is, number of employers contacted, number of vacancies by sector and firm ownership, number of referrals to ALMPs , number of jobseekers who were offered, accepted, or refused a job offer, number of unemployed profiles created); and outcomes (job placement rates through job intermediation services and ALMPs).

49. **Two annual tracer studies** of the employment trajectories of the SES-registered jobseekers who were placed will be undertaken, and reports based on the data will be compiled.

50. **Regular training of the SES staff** will be carried out to improve data collection and organization, in the use of such IT tools to analyze and aggregate data, and undertake the annual tracer studies and employer satisfaction studies. Although this may appear to be strictly within the competency of the SES, the VTCs must play a role in the design and analysis of these studies as they should track the employment trajectories of their graduates. The training will include specialized training on large database, cybersecurity, personal data protection, and IT management.

At the MLSPP Level

51. **Support the development of a sectoral social protection Results Framework and KPIs** to strengthen the ministry's accountability and performance management, including specifying agreed indicators, baseline and targets, data sources, frequency of reporting, and roles and responsibilities.

52. **Improving the capacity of relevant departments at the MLSPP to produce knowledge and analysis for evidence-based decision making.** This will include training of the department staff to (a) centralize, collate, and analyze the information from the SES MIS using the statistical software to generate KPIs, including those in the sectoral Results Framework; (b) analyze survey microdata to assess the performance of all social protection programs (TSSA, SEP, and training); (c) produce and

disseminate quarterly reports on the spending, implementation status, and outcomes of key LM interventions to inform policy making in the MLSPP and SES; and (d) improve competencies on large database, cybersecurity, personal data protection, and IT management.

53. **Develop the concept, operational guidelines, and the MIS module of a GRM system** for the SES to record and address complaints both from SEP beneficiaries/applicants and from all registered jobseekers.

54. **Two beneficiary assessment surveys**: one to be conducted in Year 2 and the second in Year 6. The sample should include beneficiaries of the SEP, rejected applicants, and the general registered jobseekers, with and without the 'unemployment status'. The beneficiary assessment will collect feedback from the SES beneficiaries on the quality and relevance of the services and programs. Specific focus will be on the SEP to better understand the relevance of the trainings (SIYB, technical, and psycho-motivational) provided; the effectiveness of mentoring visits; the adequacy of the frequencies of mentoring visits; and the quality of trainers/instructors/mentors, among others.

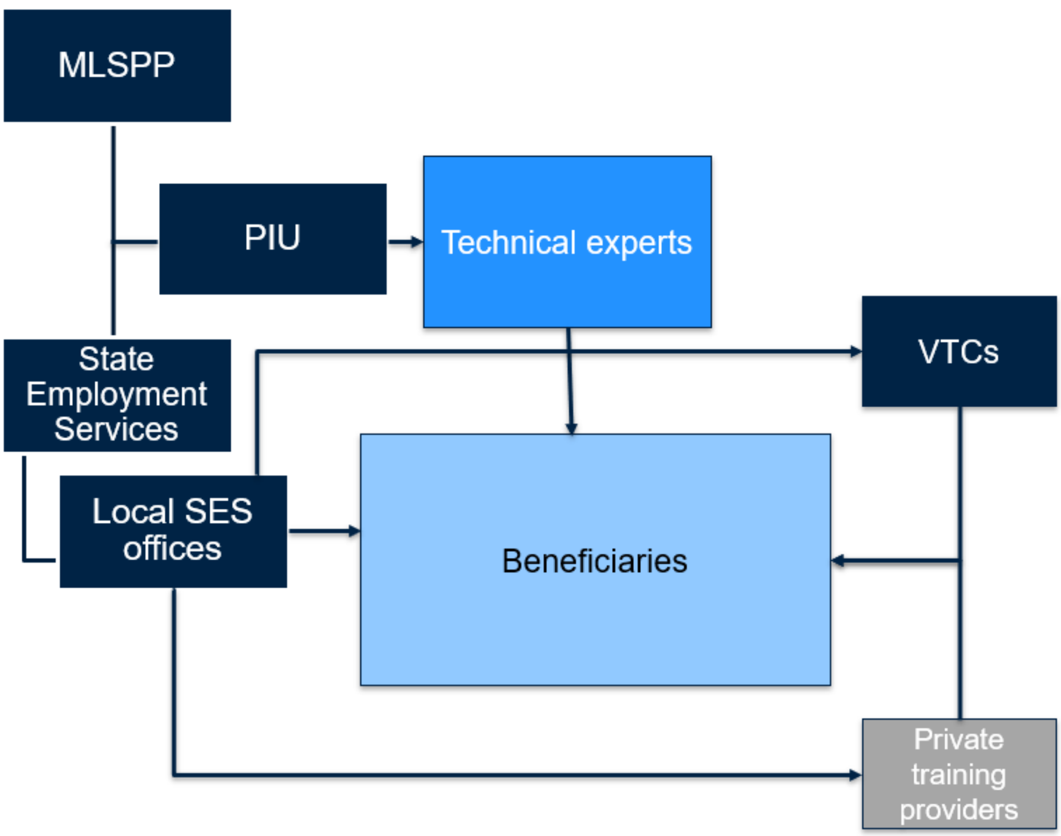
ANNEX 2: IMPLEMENTATION ARRANGEMENTS AND SUPPORT PLAN

COUNTRY: Azerbaijan
Azerbaijan Employment Support Project

Implementation Arrangements

1. **The project will be implemented under the leadership of the MLSPP of the Republic of Azerbaijan.** The MLSPP is responsible for developing employment policies and monitoring their implementation and will lead the implementation of the project through a dedicated PIU to be established within the ministry, with the close involvement of the Employment Policy Department to manage the fiduciary functions, and the SES (which is organizationally part of the MLSPP). The project will provide non-livestock assets, initially limited to 27 rayons, and then scaled up to other rayons (as approved by the World Bank). Figure 2.1 outlines the project's implementation arrangements.

Figure 2.1. Implementation Arrangements



2. **The project will target specific geographic areas in the country in the first year of implementation and will then expand to the entire country from the second year onward.** The Government ranked rayons (and subrayons in Baku) based on their combined percentage of (a) the

country's population, (b) the share of all unemployed and jobseekers residing in that area, and (c) the share of all individuals who have expressed interest in participating in the SEP. Among the highest ranking districts that represent both rural and urban areas of the country, several rayons (and subrayons in Baku) have been selected for participation in the project: the Binagadi, Khazar, Yasamal, Nasimi, Surakhani, and Khatai sub-rayons in Baku; the Sumgait rayon in Absheron; Ganja-Nimazi, Shamkir, and Tovuz rayons in Ganja-Gazakh; the Gabala and Shaki rayons in Shaki-Zaqatala; the Masali and Lankaran rayons in Lankaran; the Khachmaz and Guba rayons in Guba-Khachmaz; the Shirvan Mingachevir, Yevlakh, Barda, Goychay, Imishli, and Salyan rayons in Aran; the Agyhdam and Fuzuli rayons in Yukhari-Garabagh; and Ismayili and Shamaki rayons in Daghlig Sirvan. These rayons represent a broad spectrum of the different economic and geographic conditions in Azerbaijan. Project activities will only be carried out in areas controlled by the Government. Based on first-year implementation results, starting from 2021 the project will be scaled up to other rayons (as approved by the World Bank).

3. **The network of local SES centers will play a key role in the implementation of the project.** The key implementing body of the program will be local offices of the SES, while trainings will be delivered with the involvement of the MLSPP VTCs and private training providers. The project will take advantage of ongoing coordination[74] at the level of rayons as a consultative mechanism to ensure a participatory planning process that takes into consideration local socioeconomic conditions in planning of SEP activities.

4. **The project management structure will involve both central and local components.** The structure will involve (a) a Steering Group led by the MLSPP and involving the SES and the PIU that will meet quarterly to take stock of project implementation, discuss any deviations, and take action (if needed); representatives of the private sectors will also be part of the committee and (b) a Working Group led by the PIU and involving other relevant sectoral counterparts (for example, Ministry of Economy, Ministry of Agriculture, and the SSC).

5. **The PIU will be responsible for procurement, disbursement, monitoring, and reporting on the use of loan proceeds.** The PIU will include a Director for this operation, who would have overall responsibility for the implementation of the proposed project on the ministry's side. Given the complexity and multisectoral feature of the project design, the PIU would also include at least two sector specialists, one focusing on self-employment and another on labor market programs. Further specialists on procurement, financial management, M&E, and environmental and social safeguards should also be hired by the PIU. The PIU will also hire consultants, business trainers and mentors, who will be providing technical and business support to the SEP beneficiaries. Implementation arrangements will ensure continuous strengthening of the MLSPP's capacity to promote long-term sustainability of the reforms.

Financial Management

6. **Risk analysis**. The overall financial management risk for the project was Substantial before mitigation measures, and with adequate mitigation measures agreed upon, the financial management residual risk is rated Moderate.

[74] The Regulation of Local Employment Centre of State Employment Service, Attachment No. 2. paragraph 7.5.1, requires that the local SES centers discuss measures and activities with the local self-government bodies, to tackle unemployment.

7. **Staffing**. A financial officer will be selected within the unit who will be assigned with financial management responsibilities for the project. The financial officer is required to be a qualified specialist with experience in implementation of World Bank or other international financial institution projects. Once the project enters the active stage of implementation, and depending on the workload, the financial management capacity of the PIU will be strengthened by hiring of additional financial management staff. The terms of references for the financial management staff, with detailed descriptions of duties, are included in the financial part of the POM. The implementing entity is responsible for the project's financial management arrangements and its staff will provide supplementary expertise and time, as required, for the specificity of World Bank procedures for accounting, reporting, and disbursement procedures. The PIU staff within the MLSPP needs to have sufficient qualifications and experience to perform tasks in its scope. The MLSPP is assessed to have sufficient capacity to ensure the appropriate staffing.

8. **Planning and budgeting.** The project's budget will be prepared by the MLSPP with support from the PIU. The MLSPP needs to hire PIU staff as soon as possible to help in preparation of project planning and budgeting and manage project funds in a best manner from aspects of funds allocation, liquidity, and overall performance. Variances of actual versus budgeted figures should be monitored on a regular basis, appropriately analyzed, and corrective actions taken. The PIU will prepare in-year financial plans and cash forecast based on the project's budget, thus ensuring adequate liquidity management and withdrawal of funds.

9. **Information systems.** Acceptable accounting software administered by the PIU needs to be procured and used for project accounting and reporting. Accounting records should include proper analytics of expenditures according to contracts and each specific payment.

10. **Accounting policies and procedures.** The accounting books and records will be kept on cash basis with additional information on signed contracts. Project financial statements will be presented in U.S. dollars. The entity implementing the project should apply in practice a set of acceptable accounting procedures and internal controls including authorization and segregation of duties for the project. To improve safeguard of assets, more internal control procedures are instituted (for example, reconciliation between accounts and records, and reconciliation of cash and bank balances) and described in the financial manual. The financial part of the POM will set out the financial management and internal control policies and procedures and is intended to guide staff and minimize the risk of errors and omissions, as well as delays in recording and reporting. These written standards also clarify responsibilities, including level of authority, clear control over cash, and bank accounts and ensure prompt and accurate financial reporting.

11. **Financial reporting and monitoring.** Project management-oriented unaudited IFRs will be used for project monitoring and supervision. The format of the IFRs will be agreed upon during negotiations and attached to the minutes of negotiations. The reports will include consolidated financial information on all project funds. The reports will also incorporate detailed information on amounts transferred to the MLSPP, amounts paid to beneficiaries, and any unused funds which were transferred from the Designated Account. The PIU will produce a full set of IFRs for each calendar quarter throughout the life of the project. They will be due 45 days after each quarter ends. The IFRs will include the following reports presented in the agreed format: (a) statement of sources and uses of funds, (b) uses of funds by activity, (c) Designated Account statement, (d) unit of output by activity, and (e) narratives to the reports. The accounting for the project is cash basis with additional information provided for commitments on signed contracts.

12. **Internal controls.** An adequate system of internal controls and procedures should be instituted as part of the project. The management control framework is described in a financial management section of the POM. The current financial management section will serve as the basis for the development of the respective chapter of the POM of the project that will be prepared by loan effectiveness. Key internal controls to be applied for the project include (a) appropriate authorizations and approvals; (b) segregation of duties (with no single person having the responsibility for all phases of transaction); (c) regular reconciliations between records and actual balances, as well as with third parties; and (d) complete original documentation to support project transactions. Additional controls are required to ensure that the funds flow to selected beneficiaries and that the funds are used for intended purposes and are detailed in the POM and in the financial manual as part of the POM. The controls include the following:

- Appropriate procedures for selection of beneficiaries (staff who perform evaluation, the procedure and criteria, and summary reports);
- Procedures on determining funds needed and methods of calculating quarterly need for funds;
- Transparency of flow of funds—the need for information about the transferred funds, together with supporting documentation, including statements of accounts to be submitted to the PIU from the commercial bank and treasury. The PIU will include detailed information in the quarterly IFRs; and
- Reporting back to the PIU on the executed transfers from the Designated Account to beneficiaries (supporting documentation, such as evidence of bank transfer confirming bank account owner or signed payments slips by beneficiaries, and account statements), as well as on the unused funds.

13. **External audit**. The implementing entity follows the audit requirements of the existing World Bank-financed projects. The MLSPP is audited by the Chamber of Accounts as any other government entity. However, as the capacity of the Chamber of Accounts for conducting efficient financial audit is still quite limited, the project’s financial statements will be audited in accordance with terms of reference acceptable to the World Bank by a private sector audit company acceptable to the World Bank, and the audit report will be submitted to the World Bank at the latest six months after the end of the period audited. The annual cost of the audits of the project will be covered by the project funds.

14. **The project, apart from financial audit, includes performance and operational audit of grants at least on a sample basis to ensure that the agreed outputs are delivered in an efficient manner.** Separate reports will be produced for the financial audit, operational audit, and performance review and finalized within six months from the end of the audited period. It is expected that the operational and performance audits will be contracted and started once the project enters the active phase of implementation.

15. **Financial management conditions and action plans.** To further strengthen the project financial management arrangements, there is one condition for effectiveness which should be implemented as indicated in table 2.1.

Table 2.1. Financial Management Condition

Condition	Due Date
Complete the financial management section of the POM, describing the specific financial and disbursement procedures instituted for the new project	Effectiveness

16. **Flow of funds and disbursement arrangements.** The transaction-based disbursement method will be used for the Project. Once the project becomes effective a Designated Account will be opened in an acceptable commercial bank, to which the funds will be transferred. A separate account in the treasury will be opened to handle the Government's share of project expenditures. The Designated Account will be managed and operated by the PIU with the authorized signatories, which include a ministerial (MLSPP) representative. The procedures relating to the flow of funds, including paths for authorization and approval of payments will be described in detail in the financial management section of the POM. The procedures should clearly describe all steps of the process, as well as authorized signatories for administering the account funds. Bank statements showing turnover and balance on the account will be submitted on a daily basis. The PIU will include balances on all project-related accounts in the quarterly IFRs. The ceiling for the Designated Account will be indicated in the Disbursement and Financial Information Letter to be agreed on at negotiations. Applications for replenishment of the Designated Account will be submitted at least quarterly or when one-third of the amount has been withdrawn, whichever occurs earlier. Documentation requirements for replenishment would follow standard World Bank procedures as described in the Disbursement Handbook. Bank statements of the Designated Account, which have been reconciled, should accompany all replenishment requests.

17. The withdrawal of proceeds from the IBRD loan will be made according to the schedule shown in table 2.2.

Table 2.2. Schedule for Withdrawal of Proceeds

Category	Amount of the Loan Allocated (US$)	Percentage of Expenditures to be Financed (Net of value added tax)
(1) Goods, works, non-consulting services, consulting services for the project and operating costs for the project		100
(2) Refund of the Preparation Advance		Amount payable pursuant to Section 2.07 (a) of the General Conditions
[(3)] Front-end fee		Amount payable pursuant to Section 2.03 of this Agreement in accordance with Section 2.07 (b) of the General Conditions
[(4)] Interest Rate Cap or Interest Rate Collar premium		Amount due pursuant to Section 4.05 (c) of the General Conditions
Total amount	100,000,000	

18. **Government counterpart funding.** The Government's contribution is limited only for financing of value added tax under the project and will be disbursed from budget allocations through the treasury system in the Ministry of Finance. Funds would be released to finance expenditures as they are incurred.

19. **Retroactive financing.** The Government is considering retroactive financing that would help initiate some activities, which will be essential for a quick start of the project implementation following effectiveness. These activities will include (a) PIU salaries and operations, (b) development/update of training modules for the SEP beneficiaries, and (c) initial technical assistance and capacity-building activities for the PIU and SES staff to support program launch. Retroactive financing will apply to payments made by the borrower not more than 12 months before the expected date of the loan signing.

20. **Supervision plan.** During project implementation, the World Bank will supervise the project's financial management arrangements in two main ways: (a) review the project's unaudited IFRs for each calendar quarter, as well as the project's annual audited financial statements and auditor's management letter and (b) perform on-site supervisions and review the project's financial management and disbursement arrangements to ensure compliance with the World Bank's minimum requirements. The supervision may include the PIU within the MLSPP and a random sample of final beneficiaries, as considered necessary. The World Bank-accredited financial management specialist will perform supervisions

Procurement Arrangements

21. **Procurement will be carried out in accordance with the World Bank's "Procurement Regulations for IPF Borrowers":** Procurement in Investment Project Financing Goods, Works, Non-Consulting and Consulting Services', dated July 1, 2016, and revised in November 2017 and August 2018. A PPSD based on market analysis has been developed with support of the World Bank. A detailed Procurement Plan has also been prepared for the first 18 months of the project implementation based on the PPSD's outcome. Project procurement communication and Procurement Plan implementation will be performed through the STEP system.

22. **Key procurement under the project.** The project's total value is US$100 million of which approximately US$90 million contributes to the procurement of goods contracts for the different type of assets for beneficiaries followed by consultancy of US$3 million. No works contract is anticipated. All procurement will be conducted centrally by the MLSPP/PIU.

23. **Civil works.** No works contract is anticipated.

24. **Procurement of goods and non-consultant services.** Goods required under the project will include different type of assets for beneficiaries. This is the major procurement under this project and will follow national and international competitive bidding with few packages. Market analysis confirmed that there are adequate number of international and national bidders for this major procurement. Other goods procurement are vehicles, office supplies, consumables, and so on. According to the PPSD, an appropriate procurement method has been selected and mentioned in the Procurement Plan.

25. **Selection of consultants.** There are few low-value firms and individual consultants. According to the PPSD, an appropriate procurement method will be selected and mentioned in the Procurement Plan.

Client Capability and PIU Assessment

26. **Procurement** is planned to be conducted centrally by the MLSPP/PIU, which will be responsible for all procurements under the project. Though the MLSPP had experience in implementing World Bank-funded projects and had past working exposure to the World Bank's old Procurement Guidelines, the MLSPP has no experience in the World Bank Procurement Regulations which is effective since July 1, 2016. The MLSPP will be responsible for few moderate value goods and consultancy contracts with national and international competition following World Bank Procurement Regulations, which needs relevant expertise. Considering these factors, the procurement risk rating is assessed as Substantial. It has been agreed that the MLSPP will assign a staff as a procurement focal person for the project. In addition to that, the MLSPP will ensure full-time dedicated service of an experienced procurement consultant throughout the project life. Once the PIU is formed, the World Bank will arrange customized procurement training on the Procurement Framework including the PPSD and STEP.

27. **The MLSPP/PIU needs customized training from the World Bank to prepare bidding documents for goods procurement following international competition**. Similarly, the MLSPP/PIU will need customized training in bid evaluation and contract management. KPIs will be included in goods contract for assets to ensure value for money (VFM) and efficiency.

Table 2.3. Key Risk and Proposed Mitigation

Procurement Core Principle	Possible Risk	Proposed Mitigation Measures
VFM	(a) High priced bid (b) High maintenance cost (c) Less life time of the product (d) Low quality of the finished product (e) High cost of ownership over the life of the product. (f) Negative impact in terms of social and environment aspects (g) Lack of knowledge of the MLSPP/PIU to ensure VFM (h) Inadequate understanding of the bidders related to VFM procurement	(a) Introduce KPI for sustainable procurement (social and environment) part in contract management. (b) Comprehensive training for the borrower on VFM. (c) Awareness program for the prospective bidders on VFM procurement.
Economy	(a) High bid price (b) High cost of ownership (c) Contract will not be completed on time, cost over run	(a) Conduct bidder's awareness to ensure better completion which may ensure reasonable price
Integrity	(a) Possibility of wrong doing by the bidder	(a) Conduct customized training on fraud and corruption (for the borrower. (b) Bidder awareness on fraud and corruption and its remedial measures as part of pre-bid meeting.
Fit-for-purpose	(a) limited local market and contract size will not attract international bidders.	(a) Conduct bidder's awareness both at national and international levels.

Procurement Core Principle	Possible Risk	Proposed Mitigation Measures
Efficiency	(a) Frequent rebid (b) More time will be required to prepare bidding documents and complete evaluation and change of faulty bidding documents and evaluation (c) Contract will not be completed on time.	(a) Set appropriate packing and qualification requirement based on market analysis to ensure adequate competition. (b) World Bank will provide customized training to the MLSPP/PIU in bidding document preparation, bid evaluation, and contract management. (c) Monthly reporting on contact monitoring flowing the World Bank's standard contract monitoring tool. (d) KPIs will be linked with payment. (e) Use project management tool like MS Project and closely monitor the critical path.
Transparency	(a) All bidding information may not be public.	(a) All advertisements will be published in the MLSPP/PIU website. (b) Contract award information will be published in the MLSPP/PIU.
Fairness	(a) Change of incorrect bid evaluation	(a) In addition to prior review contract, the World Bank will also review critical contracts as identified in the PPSD.

28. **Procurement thresholds and prior review thresholds**. The Procurement Plan shall set forth those contracts which shall be subject to the World Bank's prior review. All other contracts shall be subject to post review by the World Bank.

Implementation Support Plan

29. **The implementation of the proposed project will be supported through the following sets of activities: (a) ongoing technical support, (b) specific fiduciary support, and (c) regular supervision and implementation support**. These activities will also be part of an ongoing policy dialogue with the MLSPP and SES.

(a) The World Bank will provide ongoing technical support to both the MLSPP and SES during implementation. This technical support will be provided by labor and social protection experts and will focus on key implementation areas involving other staff within the World Bank, as necessary.

(b) The World Bank will provide specific support to the PIU in the areas of financial management and procurement to ensure compliance with applicable fiduciary standards. This support, to be provided by specialized financial management and procurement specialists based in the World Bank's Baku office, will be provided through ongoing supervision of the project.

(c) The World Bank team will conduct regular supervision and implementation support missions (at least twice a year) to review the progress in specific activities to ensure that the development objective of the project is expected to be achieved on time. As the project makes progress toward its PDO, the implementation support plan may be adjusted as necessary, depending on the areas that may need additional assistance.

30. **Financial management implementation support and supervision plan.** During project implementation, the World Bank will supervise the project's financial management arrangements in two main ways: (a) review the project's unaudited IFRs for each calendar quarter, as well as the project's annual audited financial statements and auditor's management letter and (b) perform on-site supervisions and review the project's financial management and disbursement arrangements to ensure compliance with the World Bank's minimum requirements. The supervision may include the project implementation unit within the MLSPP and a random sample of final beneficiaries as considered necessary. The World Bank-accredited financial management specialist will perform supervisions**.**

31. **Safeguards review would be carried out in accordance with the new Environmental and Social Framework**. The review will be carried out at least twice a year and will involve a desk review of all documentation related to the activities within the social and labor management plans. The environmental and social teams will provide opportune support and, as necessary, training to the PIU to ensure adequate compliance with the related requirements.

32. **Implementation support plan and budget.** Table 2.4 presents the implementation support plan and initial estimated costs. All expenditures are expected to come from the regular World Bank budget.

Table 2.4. Implementation Support Plan and Budget

Areas of Support	Resource		Supervision Cost per Year
	Team Member	Time (weeks)	
Project's task team leader: (a) coordination of overall project supervision and implementation support, (b) technical and operational support in the areas of labor market programs and social assistance, (c) M&E, and (d) lead policy dialogue.	Senior economist	12	US$150,000
Technical support (a) day-to-day implementation, (b) labor market programs and social assistance, (c) support the PIU and link them with other World Bank specialists as necessary, (d) ongoing technical dialogue with the Government	Consultant (local)	22	
Technical support in active labor markets and self-employment	Senior economist	3	
Technical support in IT-related issues	Consultant	4	
Financial management support	Financial management specialist	4	
Procurement support	Procurement specialist	4	

ANNEX 3: ECONOMIC ANALYSIS

1. **Activation and employment support programs and services are key instruments for improving employment outcomes among groups of vulnerable people.** Programs supporting self-employment and entrepreneurship are important policy instruments to boost the income of the poor and vulnerable, for whom self-employment can be a key source of income. Such programs help address labor market constraints related to a lack of labor demand and, more specifically, addressing financial and nonfinancial[75] constraints. Existing evidence from OECD and EU member states suggests that well-designed activation programs can have a positive impact on employment outcomes for program participants, including those who are recipients of public income support. The evidence also indicates that activation and employment support programs tend to produce modest positive results in a cost-effective manner. The effectiveness of such programs tends to be hindered by high levels of informality, rural and immobile target populations, and low labor demand due to macroeconomic conditions. Effective employment promotion programs are generally aligned with the requirements of the authorizing environment, including domestic policy challenges, opportunities, and institutional capacity; solid understanding of the needs and requirements of current and prospective clients of activation interventions; and choices of appropriate incentives along with policy instruments.

2. **The proposed project is expected to yield substantial and quantifiable benefits**. The project is expected to increase the share of TSSA beneficiaries and other vulnerable groups either in self-employment or in wage employment, providing pathways to productive (self-) employment activities through the SEP and expanding the access to wage employment opportunities mainly through improved employment services through the SES targeted to vulnerable jobseekers. The project is further expected to increase the number of operational businesses, directly contributing to micro, small, and medium enterprises growth in the country.

3. **This annex presents the economic and financial analysis for the main component supported by the project (Component 1: Enhancing the scope and effectiveness of the self-employment program).** The analysis is based on administrative data on the SEP shared by the Government of Azerbaijan. Assumptions are made based on the existing international evidence on entrepreneurship programs.

4. **The economic analysis is restricted to Component 1 of the project** as this component comprises 96 percent of project funds and implements interventions which are more strictly measurable than the activities under Components 2 and 3. Nonetheless, Components 2 and 3 are also expected to lead to benefits due to increasing efficiency and effectiveness of the operation of the SES. The economic theory suggests that improvements in the capacity of SES to serve vulnerable jobseekers ('the hardest to serve') may lead to higher jobs placements and better matching between jobseekers and employers. Improving job intermediation helps increase the speed and quality of job matches. Better-trained staff in the SES are able to better serve disadvantaged jobseekers and increase their likelihood of finding and retaining a job. The enhanced capacity of the SES staff will affect the job placement rate along three dimensions: a higher

[75] Financial constraints include prohibitively high interest rates and collateral requirements for vulnerable groups while nonfinancial constraints encompass the absence of business knowledge, practices, and management capital; limited access to markets (value chains), networks, and mobility; and other factors.

likelihood of placement, faster placement and therefore lower unemployment durations, and better job matches, resulting in a longer job tenure and higher job satisfaction for both employees and employers.

5. **The development and design of SES IT systems and a comprehensive labor market skills assessment will lead to efficiency gains in the operations of the SES.** The development of M&E methodologies and systems that will improve the design and implementation of employment programs are critical for the success of these programs. Furthermore, they will improve the perception of the SES in the public realm, leading to more jobseekers and employers resorting to its services. The cost of upgrading the existent IT systems with simple functionalities to produce more and better monitoring information is relatively low compared to the budget dedicated to ALMPs. The cost of producing labor market analyses is also low compared to the budget of the ALMPs but can yield high impact with regard to employment outcomes.

Cost-benefit Analysis Methodology

6. **This section describes the methodology of the cost-benefit analysis undertaken to estimate the returns of the project.** The analysis compares the cost and performance of the SEP currently implemented by the Government of Azerbaijan with the enhanced SEP to be implemented by the project. It is expected that the project will increase the benefit-cost ratio of the SEP through (a) improving training provided to beneficiaries (redesigned SIYB and technical training), (b) providing individual follow-up visits for all beneficiaries and mentoring and technical support to beneficiaries through dedicated experts, and (c) diversifying the SEP by focusing on non-livestock beneficiaries which engage in higher return activities.[76]

7. **As the project supports beneficiaries directly, the costs accrue exclusively to the Government in the form of the cost of the project whereas the benefits accrue mostly to the beneficiaries in the form of improved livelihoods, successful entrepreneurship, and access to jobs.** There are also indirect benefits to the Government in the form of increased tax revenue and lower social assistance expenditures. The analysis does not include indirect benefits such as the long-term human capital increases of both beneficiaries as well as children of beneficiary households, stemming from higher income security and job stability. Two scenarios are considered for calculating the net benefits accruing from the SEP business: (a) a three-year period and (b) a seven-year period. While the analysis assumes a share of beneficiary attrition each year under both scenarios, the three-year scenario calculates the benefits from the projects only for the first three years and assumes that the depreciated assets of surviving firms will be counted as benefit at the end of the three-year period. Conversely, the seven-year scenario assumes that the depreciated assets of all businesses remaining after seven years will accrue as a project benefit. Whereas the analysis covering only three years provides a conservative estimate of benefits and can assess whether the SEP is a valuable intervention in the short run, the seven-year period more likely reflects the full range of benefits accruing over the life span of SEP businesses.

8. **The costs** of the project include (a) the amount spent on the direct asset transfer to beneficiaries, assumed to be AZN 7,000 (including the cost of technical training, both private and in VTCs); (b) the cost of business training delivered to beneficiaries (AZN 31 per beneficiary); (c) the cost of individualized

[76] The economic analysis does not take into account the matching grants and prizes provided on a pilot basis.

follow-up visits (AZN 95 per beneficiary);[77]and (d) the cost of individualized mentoring visits (AZN 76 per beneficiary).[78]

9. **Benefits** of the project include (a) the remaining value of the assets that are transferred to beneficiaries, taking into account depreciation of assets (assumed to be 10 percent per year),[79] and (b) the discounted value of the stream of earnings from selling products or services (AZN 4,368 per beneficiary per year)

10. **The assumptions for the cost-benefit analysis are based on government monitoring data from the existing SEP.** The average earnings of beneficiaries per month are based on the earnings of the existing beneficiaries in the SEP for the government scenario (estimated at AZN 280 per month for non-livestock activities based on information from current beneficiaries). For the World Bank-financed beneficiaries, the analysis assumes that enhanced training and supervision will increase beneficiaries' earnings by 30[80] percent. The analysis assumes that the World Bank-financed project will decrease the current attrition rate among SEP beneficiaries (estimated to be 50 percent based on a two-year period only, given that the program has been in operation since 2017) due to enhanced beneficiary supervision and mentoring: the analysis assumes 25 percent attrition per year for the government program and 15 percent per year for the World Bank-sponsored program.

Table 3.1. Assumptions for Calculating the Benefit Levels

Assumption	Value		
	Government Program	World Bank Project	World Bank Project (lower case)
Beneficiary attrition per year (%)	25	15	15
Depreciation of non-livestock assets per year (%)	10	10	10
Revenue of non-livestock assets per year (AZN, per beneficiary)	3,360	3.696	4,368
Discount rate (%)	2		

Table 3.2. Assumptions for Calculating the Cost Levels

Assumption	Value		
	Government Program	World Bank Project	World Bank Project (lower case)
Cost of non-livestock assets including cost of technical training (AZN, per beneficiary)	7,000	7,000	7,000

[77] The project budgets four follow-up visits of four hours each, one per month during the first four months.
[78] The project budgets six mentoring visits per beneficiary for 40 percent of beneficiaries.
[79] This results in an asset value of AZN 4,480 at program completion (after two years).
[80] International evidence shows that psychological training and mentoring for entrepreneurs are highly effective tools of increasing business success and revenue (Brooks, W., Donovan, K. and Johnson, T. 2018. "Mentors or Teachers? Microenterprise Training in Kenya." *American Economic Journal: Applied Economics*, Vol. 10 (4): 196-221.; Campos, F. et al. 2018. "Teaching Personal Initiative Beats Traditional Training in Boosting Small Business in West Africa", *Science*, Vol. 257, Is. 6357; and McKenzie and Woodruff 2017). In particular, studies show that each of these tools can increase profits of microentrepreneurs by between 20 percent and 30 percent.

Assumption	Value		
	Government Program	World Bank Project	World Bank Project (lower case)
Cost of SIYB training (AZN, per beneficiary)	31	31	31
Individual follow-up visits (AZN, per beneficiary)	n.a.	95	95
Cost of mentoring visits per year for 40% of beneficiaries (AZN, per beneficiary)	n.a.	76	76
Cost of technical vocational training through private providers for 80% of beneficiaries (AZN, per beneficiary)	n.a.	320	320

Cost-benefit Analysis Results

11. **The analysis demonstrates that even under the conservative three-year scenario, the World Bank project can substantially enhance benefit-cost ratios of the SEP.** Table 3.3 gives the results of the cost-benefit analysis of the Government's current project (the baseline against which the World Bank project is compared) and the enhanced World Bank SEP assuming a three-year benefit horizon. Overall, the Government's program has an implementation cost of AZN 7,031 and yields AZN 10,894 over a three-year period, resulting in a net benefit of AZN 3,863, and a resulting benefit-cost ratio of 55 percent. The World Bank-funded project would lead to a higher return rate of 99 percent, with net benefits of AZN 14,297. The higher benefit-cost ratio is due to the higher cost of improving training and mentoring for beneficiaries more than paying for itself as beneficiaries have higher business survival rates and higher returns from their entrepreneurial activities. Table 3.1 also outlines a lower-case scenario for the World Bank project which assumes a smaller earnings' increase for the World Bank SEP beneficiaries compared to government-sponsored beneficiaries (10 percent as opposed to 30 percent).

Table 3.3. Cost-benefit Analysis of Component 1 (three-year scenario, per beneficiary)

Program	Total Benefits per Beneficiary (NPV)	Total Costs per Beneficiary (NPV)	Net Benefits per Beneficiary (NPV)	Net Benefit/Costs (%)
SEP - Government of Azerbaijan (baseline)	10,894	7,031	3,863	55
SEP - World Bank funded	14,297	7,200	7,097	99
SEP - World Bank funded (lower case scenario)	12,881	7,200	5,682	79

Note: Values are in Azerbaijani manat.

12. **Under the scenario of assuming a benefit accrual of seven years, the SEP leads to high returns that justify the significant upfront cost of the SEP.** Table 3.4 provides the results of the cost-benefit analysis of the project under a seven-year time horizon. As expected, returns of both the government- and World Bank-funded project increase significantly. The Government program yields net benefits of AZN 5,523 per beneficiary, yielding a benefit-cost ratio of 75 percent. The World Bank-funded program leads to increased net benefits of AZN 12,089 and a resulting benefit-cost ratio of 168 percent.

Table 3.4. Cost-benefit Analysis of Component 1 (seven-year scenario, per beneficiary)

Program	Total Benefits (NPV)	Total Costs (NPV)	Net Benefits (NPV)	Net Benefit/Costs (%)
SEP - Government of Azerbaijan (baseline)	12,284	7,031	5,253	75
SEP - World Bank funded	19,288	7,200	12,089	168
SEP - World Bank funded (lower case scenario)	16,866	7,200	9,666	134

Note: Values are in Azerbaijani manat.

13. **Overall, Component 1 of the project will yield an additional AZN 200 million in additional benefits compared to the baseline case of government implementation.** Table 3.5 gives the overall estimated benefits of Component 1. As mentioned earlier, it assumes 22,000 additional beneficiaries financed by the World Bank. This would yield overall net benefits of about AZN 424 million. Furthermore, compared to implementation of the Government program, the project yields an additional AZN 150 million in net benefits.

Table 3.5. Overall Estimated Benefits of World Bank Program (seven-year scenario)

Program	Total Costs	Total Benefits (NPV)	Net Benefits (NPV)	Additional Net Benefits Compared to Government Program
Component 1	167,350,000	424,300,000	266,000,000	150,400,000
Component 1 (lower case scenario)	167,350,000	371,100,000	212,700,000	97,100,000

Note: Values are in Azerbaijani manat.